

Converting Ads

How To Profitably Advertise Your Offer On Any Ad Network In Any Level Of Competition

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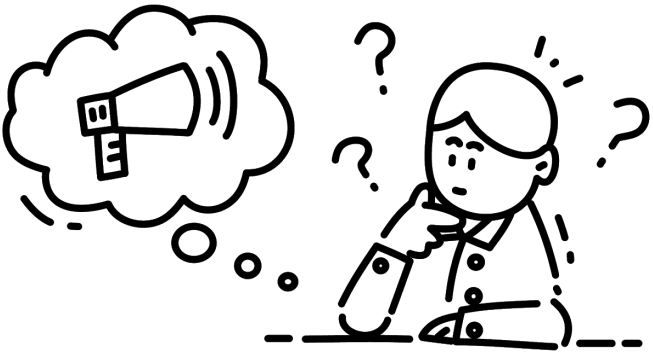
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Converting Ads

The reason we did the book in this format and not just give you a step by step guide is because mechanically advertising is easy. Creatively, it's relatively easy. Anybody can go on YouTube and get some tutorials on ads. You can learn the mechanics of how to run ads in a weekend. But nobody really teaches anything on the strategic aspect, and that is what you really need to know. You need to understand the strategy behind how to approach advertising online. Strategy is something you would normally have to pay for with time and mistakes. What follows here is our best way of helping you to accelerate your advertising to new levels of success, by compressing 15 years of experience into the things that you need to know and that you should implement right now.

Marketing and advertising is a function of a business. A lot of people think that “I'm an online marketer”, but whenever you take on the identity of being an online marketer, you really take away the identity of being an online business owner, because you become this thing where you're just focused on marketing. You get really good at marketing, but then you forget that marketing is a function of business. Marketing, or advertising, in itself is not a business.



Chapter 1

What is Advertising?

We've seen a lot of confusion around the idea of the term 'advertising'. 'Marketing' is about creating the opportunity for a sale, and advertising can be seen as 'paid marketing'. Think about it this way, you write a great blog post that ranks on google. People click on it and they get to your site for free. That's marketing. If you're paying money to an ad network and they're displaying your advertisements, that is advertising.

There are so many so-called ‘gurus’ now teaching things that they just don’t understand fully. When people teach things they don’t fully understand the water becomes murky and people's understanding gets even more detached from the original teachings. This is why it’s so important to get back to the absolute basics when it comes to learning about advertising, marketing and sales, or indeed, any discipline. ‘Supertexts’ are the founding work of an industry that all subsequent ideas are built upon. For example, Newton’s work on calculus and maths is a supertext. From his original calculus, other people added on to his original work and in time, others added to the subsequent workings. These are called the derivatives of the supertext. In our industry, the supertext would be the work of John E Kennedy and Claude Hopkins. Gary Halbert was a first level derivative of this supertext. John Carlton subsequently learned from Gary Halbert, and Dan Kennedy from John Carlton, then Frank Kern from Dan Kennedy and so on. And now we have 5th or 6th level derivative gurus in our space teaching marketing, and they’re so far removed from the original work that they don’t even know where they are deriving their thoughts from. They are derivatives without context, and they are teaching things that they shouldn’t be teaching - they have no idea what the foundation is and how it all connects, and they have a lot of basic assumptions without any of the history behind it all. In our Automatic Clients program we keep as close as possible to the founding works, but we modernise it, which keeps us close to the founding principles, while staying relevant in today’s world.

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Salesmanship Multiplied

Let's introduce the concept of Salesmanship Multiplied. To do this we need to go back in history a little to when the advertising supertext was first 'discovered'...

Back in 1905 there was a man named John E Kennedy. He was a park ranger in Canada, and he was also a freelance copywriter. At the time there was an agency in New York called Lord and Thomas. It's the oldest longest running ad agency in the world. Albert Lasker was a junior executive working there, and he was trying to define what advertising actually was because nobody really knew. At that time, the newspapers were ramping up printing, and companies were running adverts in print, but nobody really knew what the hell they were doing.

Adverts were going out in the newspaper but nothing was really working. Lasker had been looking for the answer for seven years. John E Kennedy had heard about Lasker's struggle to come up with a definition, and one day he arrived at the lobby of Lord and Thomas. He sent a letter up to Lasker, which read,

> "...I can tell you what advertising is. I know you don't know. It will mean much to me to have you know what it is. And it will mean much to you. If you wish to know what advertising is, send a word yes down to the bellboy. Signed John E Kennedy".

Rumour is that Lasker's secretary actually threw the letter away (though I don't know if that's true or not), but Lasker retrieved the letter and went downstairs to see Kennedy.

John E Kennedy explained that advertising is “Salesmanship in Print”. Salesmanship in print. That seemingly innocuous term is the foundation of our entire industry. But that was when the print media and newspapers were the most prevalent means of advertising. Nowadays, of course, we have other more advantageous media on which to advertise.

Typically you'll see ads being run on TV for example, where there’s a short tune and song, called a Jingle. The sales cycle is consistent and prolonged so you’ll keep getting hit by the jingle to eventually perk your interest. After it’s got your attention, you’ve then got to go into the store to find out more about what they’re advertising. It’s a long-drawn-out sales cycle. The advantage of today’s marketing capabilities is that everything is condensed, to the point that it is sometimes near instant. With the advent of the internet and now 5G, we don’t have to wait months or even weeks to find out if a campaign is successful. What's interesting about what we do today in our business versus what other companies do, is that an advert will take you to a landing page offer to enable you to buy now. It will have an upsell path: buy more of the same product, sell a complementary product, or book in a consultation, for example. The whole process of advertising, marketing and sales has been compressed. We get instant feedback as to what our prospects are doing and what part of the process they are in.

Salesmanship in print is in fact now used by very few (the only ones we know that do it now are mailing out postcards in the form of ads). So, salesmanship in print was gradually replaced by Salesmanship Multiplied when TV ads started to become popular, where you could run ads on more than one medium. Many iconic American companies are built on this whole idea of Salesmanship Multiplied. Companies promoting their products such as

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Palmolive Soap, Shredded Wheat and Spearmint Gum went from writing and running long sales letters in print to sell their products, to short brand awareness campaigns on TV, through the Rosser Reeves agency.

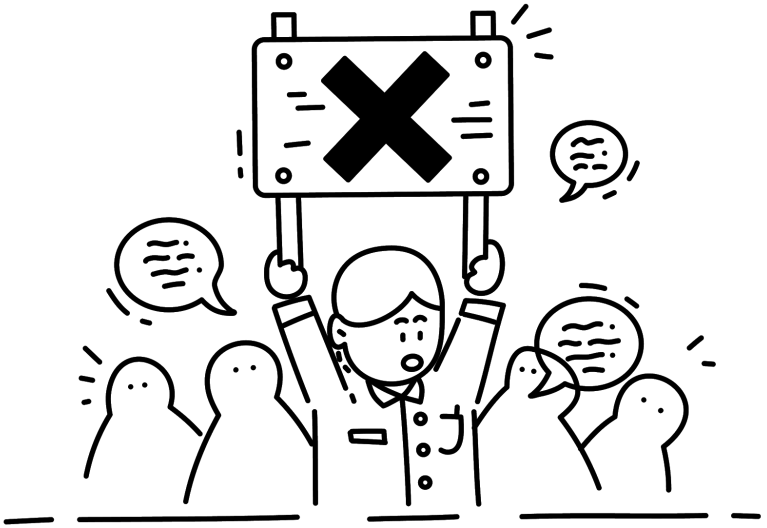
Rosser Reeves was the first agency to advertise on television. Reeves wrote the book called Reality Advertising. There's an interesting parallel between television advertising and the rise of YouTube ads where you can see how YouTube ads are working now. In the early 1900s, the big brands like Palmolive were doing postal mail, postcards, newspaper ads - any form of text advertising. When television appeared, it gave them multi-modality for their advertising meaning they could combine sound, visual and text. Plus the audience would be more captive than with a newspaper, so they would pay the advert more attention. General Motors and Cadillac were better able to convey their ads of cars as lifestyle ads in the medium of television. Ad creatives took on a whole new dimension and the visual and sound components allowed advertisers to reach more people, because a lot of people in the US can't read effectively enough to comprehend a text advert believe it or not. We are now living in an age and culture where texting has become normalised and words such as "you're" become normalised as "ur". With YouTube, you can advertise in multi-modality, so you can have text sales letters and video sales letters. But you wouldn't really choose to advertise on TV anymore because the targeting is too broad and expensive. The multi-modality of Television and YouTube is a parallel - just 70 years apart.

Nowadays we have salesmanship in media; we have Facebook, YouTube, Instagram etc, so we could say we have Salesmanship

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Multiplied in Media as there are so many forms of media available.

A key objective about salesmanship multiplied is to control your customer or client acquisition. This is really important to understand. Ten to fifteen years ago, when Alen first started out in this industry, you didn't have people from Africa, Eastern Europe, South America or Asia competing with you. Now the competition is going up and it's going up fast. There are hundreds of millions of people really tuned into what's going on. They're all competing with you. You can no longer just put up some content like a blog post for example, and just hope that somebody will stumble across it. You really have to control your customer and client acquisition. And to us, that's really what advertising is; it's the first step of the ability to control our customer and client acquisition.



Chapter 2

What Advertising is Not

Recently we saw an advertisement from masterclass.com about their latest course on advertising, created by some of New York's prestigious Madison Avenue advertising agencies. The question of, "what is advertising?" was asked and we listened to one of the course creators who's supposedly one of the best in the industry with over 30 years of experience. When he was asked, "What is advertising?" he said, "Advertising is the business of rejection,

you have to expect it everyday. Advertising is vandalism, it's loud, in your face, and it's still there the next day". This answer amazed us. That IS NOT what advertising is. He was talking about the 'business of advertising' and not about the fact that advertising is about using paid means to create the opportunity for sale. Advertising is about spending $1 and generating $2.

As we've already seen, advertising is effectively paid marketing. And marketing is about creating the opportunity for a sale. None of the things he mentioned had anything to do with sales. This is the disease that you find not just in the advertising space, but in many other industries. The disease is that if you just focus on landing the next client instead of actually getting results, you can continue to make money without having to do the hardest task there is in business: getting results. You see the exact same thing in the startup world. How often do you see a startup which puts all its focus on the next round of funding, instead of turning the company profitable? It's the exact same idea. So on Madison avenue the focus is on viral campaigns and winning awards in Cannes, as those are the things that will help you land the next client. And as far as we are concerned, we're not writing this to put judgement on them, we are writing this because we want to help you succeed with advertising, and if you look to Madison avenue type advertising agencies for direction, guidance, and courses on how to advertise, you will fail miserably. The giant brands they work with have massive brand recognition and incredibly deep pockets, and the way they do advertising for them will NOT work for your small business. You need to be focused on ROI, and what they do won't get you that.

To further clarify the point about what advertising is not *for most businesses*, let us introduce the two types of transaction in

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advertising: Macro and Micro transactions. Macro transactions are where a financial exchange takes place for a product or service, and for most businesses this should be the goal. Micro transactions seek to influence ability, trust, belief, change of opinion, branding and positioning. Advertising ultimately changes the belief system to cause a transaction to take place. Political ads are a micro transaction. There is no exchange of money, but they do aim to change beliefs, values and ideas. For the big branded companies, this is what advertising is all about because they have solved the manufacturing problem, they have solved the distribution problem, and they've solved the operational problem, so they need the brand awareness so that somebody picks their brand of cereal from the supermarket shelf. As a small business owner, you can't advertise like that and make money out of those branded ads. You are not going to get the ROI on them. These big companies can run brand awareness campaigns because they have huge budgets and ultimately that money will come back to them as their customers will typically stick around for many years and they have tons of other products to sell as well. Small businesses running vague brand awareness ads are not going to work - you need more direct and measurable methods. If you are a company generating under $100M, advertising should be about obtaining an ROI. There must be a metric involved, as you don't have the luxury of competing on anything else.

The other reason we find this advertising veteran's definition of advertising to be incorrect is the clients they work with have such high customer awareness that it really doesn't matter what kind of ad they run, since all they need to accomplish is top of mind awareness. For example, everybody already knows Doritos. Any advertising campaign that you run for Doritos is going to push

products simply because everybody already knows about them. Everybody's already had Doritos before, so if you just mention the word Doritos, you're going to make a ton of sales. So we find it interesting that a lot of these ad agencies think that advertising is a creative outlet; that it's all about creativity. What's more, you can identify these people or these companies by looking at whether they are driven by awards or not. If they are driven by awards, they probably have the disease we mentioned above, whereby they are focused on landing the next client, rather than getting results. Advertising is not a creative outlet. Yes, you can be creative in your advertising, but that's not the point of advertising. You're not doing advertising to get awards. You're doing advertising to get a measurable return on your investment (ROI). Nothing more.

These big agencies think they are in the advertising business, but they are in fact, in the 'business of advertising', not 'advertising', and there is a clear distinction between the two. The reality is, a lot of the time these agencies are not spending their own money. They are spending their client's money and they don't want to have the accountability for it. When you spend my own money, you want to track performance, you want to measure, you want to see if when you spend this $1, $2 comes out. These agencies don't, and they don't like to. Look at Facebook and Google and YouTube as a whole, they want to cater to brand advertisers because brand advertisers don't really measure anything useful. They measure abstract 'feelgood' metrics and whilst they're measuring these kinds of metrics, they are just blowing money without being held accountable. They just see that they got a lot of impressions and they pay their money. It's easy money for these platforms.

Some of these brands are public companies, and they'll do a hundred billion dollars in sales and then still somehow lose money. How do they lose!? They lose because there's no accountability anywhere. A lot of advertising goes into 'branding' but advertising is really not branding. It's a part of it, and it can help branding, but advertising has to be attached to a conversion mechanism.

If you spend $1 and get $2 out, you then have to work out how you can do this with a thousand, two thousand, three thousand dollars consistently over a long period of time. Spending money on branding does not achieve this. Branding is influencing people's perception, their feeling, and the company or product's positioning in the market, but that doesn't really equate to sales. Of course, it does in an indirect manner, but tracking sales attributed to branding is hard. Think of branding as a by-product of advertising and generating sales. It was much easier to control the narrative and what people thought about a product when there was access to only three channels on TV, five magazines etc. Nowadays you pop open your iPad, you go to the magazine area and there's 8,000 magazines. On YouTube there's millions of channels. So trying to control branding is really hard. Branding should be done if your product is really good, if it gets people results and gives them value. This allows your customer to let them talk about you, your product and the benefits. This is the new way of branding. The big advertising agencies only ever aim to win awards so they can get more business of advertising. The only thing advertising should do is generate more revenue, but measurable revenue, so you can predictably maintain and scale the volume of your sales coming in.

As we saw above, there's a strong parallel to the start-up industry, where their goal is to get to the next round of funding, to get more investors, rather than focusing on achieving a positive ROI by getting consumers to buy their product. In the startup world, there are professional fundraisers and they don't care about turning the company profitable. They'll start a company, lose a lot of equity and then go about raising more money from investors. They will pay themselves very well out of the money raised, and whether the start-up fails or succeeds, they make a ton of money out of it. And that is their whole hustle, and because there's no accountability they can get away with it. It's all just money floating around funding strange ideas. So much of this is happening but there's no tracking or accountability. If you're a smaller company or a start-up, you're funding everything out of pocket, you have to measure everything, because everything counts. You can't win with bad math. Similarly, in advertising, you can run ads and everybody can love you and tell you how great you are, but unless people are buying your products, you can't sustain it. For a small business, every dollar counts.

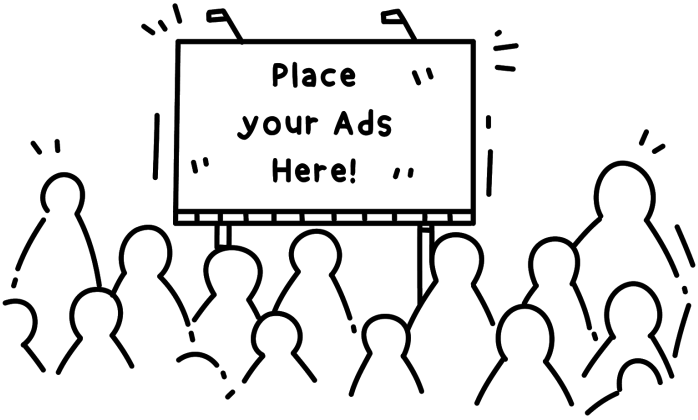
We call these agencies and start-ups Self Serving Agents. We have self serving agents in our business as well. An example are List Managers who have inserted themselves into the businesses of those who run offers to large email lists. All they do is manage these peoples' lists, and they bring very little value to the relationship. What this all leads to is that whilst some might argue that branding is advertising because it does eventually create the opportunity for a sale, it's not the kind of advertising you want to be involved in or spending your money on because the metrics involved are essentially immeasurable.

When it comes to what advertising is not, we can often say that advertising is not a conversion mechanism, where a sale occurs. It's the attraction and appeal that leads a person through the door and into your shop, but it's not the sale itself. That's not always been the case, particularly if you look back to when magazine ads themselves did everything from getting your attention to closing the sale. In these cases, the sale was made when a customer mailed in a check, but it all stemmed solely from the magazine advert.

Nowadays, it's rare that the advertisement itself is also the conversion mechanism. The reason for this is that there is this thing called User Experience. Unlike magazines where if you let an advert run you would make more money, Facebook and Google now control 90% of the advertising space online. They don't allow their adverts to be the sole conversion mechanism because it affects user experience. If a user were to be able to purchase directly from Facebook or within Google, it would detract from the positive experience of the user, who would then blame the platform. Facebook, Google etc don't want to associate with that, so they make the user experience a priority by controlling it. It is to protect us from getting taken advantage of and it helps build trust in the platform.

So we've discovered here that advertising is basically the precursor of the sale. Advertising is in essence the means of attracting people to the right message at the right time to generate the sale. And that's its only job - to get people to the point where you can start the marketing and sales conversion.

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Chapter 3

How to Succeed In Advertising

There are 3 distinct elements to learn and understand in order to become successful at advertising online. There's mechanics, creative, and strategy. A lot of people think that the key to Facebook ads is getting 'mechanically' good. This means that they devote their time to learning about the Facebook algorithm, targeting and objectives. However, this focus is misplaced. You can go on Facebook and use their free training. Or Google's free training. They have free training because ultimately their end goal is for you to spend money with them. They make it simple so

you're up and running within a weekend and spending money on ads. This is the mechanical element and is easy to learn so we're not going to be going into that in this book (there's thousands of courses out there teaching you this). The 'creative' element also takes a lot of people's attention. These are the ad creatives, such as video, image and copy. Whilst these are undoubtedly important, most neglect the most important aspect of online advertising: the 'strategic' element. It is the hardest part to learn and most never learn it.

Economics

The strategic part is the most important and is going to allow you to win at advertising online. Of all the strategic elements, Economics is crucial. Having good economics in your business actually allows you to have weak or mediocre advertising and still make it work. We talk a lot about economics with all of our clients, so we're going to take a deep dive and explore the concepts and practicalities of economics within the business of advertising online. For a practical insight, here's a note from Alen: when I first entered the online marketing world, I had no money to start. I asked myself, "If I have to master one skill, what would it be?" I chose copywriting. I thought that if I could use my copywriting skills to sell, then I could generate revenue. And I got good at copywriting. At some point though, even though my copy was good, I noticed people with suboptimal copy were crushing it. This was different and I didn't know what or how they were doing it. Eventually I realized that it was because they had great economics. In fact, they were competing on economics, they were not competing on skills. The invaluable lesson I learned was that

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you can either compete purely on creative skills or you can compete on economics.

Take the example of Ferrari and Lamborghini. They compete on skills, such as apprenticeship. When Ferrari first started designing and building their cars it was all about the pure sport of the car. However, they were unreliable and expensive. Lamborghini was originally a tractor maker and started to compete with Ferrari. In these industries, skills were learned by apprenticeship. You didn't go to college, you worked for the company and you leaned on the job. These craftsman style companies were building really beautiful, really fast cars, but they were for a specific purpose. Meanwhile, Fiat and Volkswagen produced mass market cars which were cheap and reliable and people bought them in their millions. There was a much higher percentage of people who wanted a reliable and practical car as opposed to an exotic car to show off. Fiat and Volkswagen were competing on economics, whereas Ferrari and Lamborghini were not, and because of the low volume of sales and the length of time to build, they went under, and Fiat bought Ferrari and Volkswagen bought Lamborghini. In a similar way, Toyota owns Lexus and Volkswagen also owns Bugatti. This seems counterintuitive, because you would think it should be the other way around. From a positioning perspective, expensive brands should own cheaper brands because they are a lot more prestigious. But it is actually the brands that have the good economics that own brands that don't have good economics. This happens all the time in all kinds of industries from perfumes, makeup and clothes. A lot of luxury brands go out of business because they are serving a very small market and these consumers tend to be very selective about how they spend their money. Fiat and Volkswagen compete on economics and so were

able to buy out Ferrari and Lamborghini, respectively, because economics always beats skills.

Although every market is different, we developed two rules of thumb having worked with hundreds of clients. In the acquisition of customers online, the ability to pay more than anybody else to acquire a customer on an advertising platform whilst simultaneously not losing money doing so is key to success. These are the only numbers that matter. We see so many clients 10X their end product using this strategy.

Let's take a deep dive into this 10X concept...

The 10X Concept

Let's assume you have a book or course selling at a price point of $5 and that you are at breakeven to acquire that customer, meaning you are spending $5 on ads per customer. If you can get the customer to spend $50 by buying other products (which is 10X of the price point to acquire the customer), you have perfect economics, which enables you to run ads and scale on Facebook, YouTube, Google, or any platform. The reality is that the elasticity of the price is very difficult to achieve for most people, but you get that 10X through upsells, cross sells, bumps and multi-option checkouts. Likewise, if you have a $10 product and your average order value (AOV) is $100, again, you can run ads anywhere and the economics will work out well.

To illustrate this, let's say we have two people each selling a $10 book. One sells it on Amazon and he runs ads to the book. He gets to keep $7 after paying his Amazon fees, but he's not doing any other sales - it's just the book. He could spend $7 per sale on advertising to break even on that sale. The other seller sells his

book in a different way. He sells the book and then has two upsells right after. So instead of having a $10 AOV (where he keeps $7), he has, for example, a $50 AOV (which is 5X and still pretty good). So selling the book alone on Amazon makes one $7 per sale, whilst the other seller's making $50 a sale. Even if the Amazon seller has perfect advertising to his Amazon book, the other method can have really weak advertising, but he'll still outperform that $10 AOV, because that $10 AOV can never increase. The second seller is going to crush it using this second method by getting the $50 AOV, because he's focusing and competing on economics, not on advertising or marketing or on the creative elements. His math checks out way better and that would allow him to win even with weak advertising. And so that's our goal here – it's to get you to a place where you can actually not necessarily be an expert on advertising and still crush the competition.

Equilibrium of Scaling

There is, however, a threshold in the numbers where the math starts to break down and the strategy does not work. This is around the $4 and under level. At this level or below the maths just doesn't work. If I sell a $2 product and have an AOV of $10 or $20, scaling by advertising on other platforms won't be viable economically. The key thing to understand is how the maths changes as you increase your reach and sell more volume. A lot of clients come to us and tell us they're writing a book or selling a course. When we ask what their numbers are, at first they look really good. So we ask how many they are selling and they'll often reply saying they're selling 8 to 12 books a day. Now, please understand that we in no way mean to belittle their achievements, but selling 8, 12, or 20 books a day is not difficult.

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The numbers are bound to look great as there is such a low variance at this volume. What happens at low volume is the ads are run very narrow to the people who are hyper interested, and these are buyers. As you scale, that reach goes to people who are less interested, or who are just listening. So it dilutes the effectiveness of the advertising. The numbers get less and less effective as the reach grows and you have to achieve a 10X in your AOV to compensate for that. This way you don't lose money as your reach widens. What's more, the higher the AOV price point, the stronger the 10X. So a $10,000 AOV is much stronger than a $1,000 AOV, which in turn is stronger than a $100 AOV, and this is the equilibrium of scaling.

[INSERT ILLUSTRATION]

You have to aim to get as close to 10X of the price point as much as possible. Will you get there? Not everyone does; getting to 90% of it (9X), or 80% (8X) is still very good. When you run ads, the math looks different at 10 sales a day to the math at 50 sales a day, or 200 sales a day or 500 sales a day, or a thousand sales a day. Because when you're running ads on various networks, they'll expose your ads to more people. As we've seen, as reach grows, people are less and less interested, creating this dilution of effectiveness. Remember, when your ads are shown, they are shown to people who do buy, and people who don't buy. The majority don't buy, and as you scale, the sheer number of people who see your ads and don't buy increases, which is why your numbers get worse as you scale. You have to pay for more people to see your ads, and not buy, and therein lies the increasing cost of acquiring a customer.

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When we run ads our ultimate goal is to be able to pay more to acquire customers than other companies advertising to the same audience. Furthermore, when we start running ads for an offer we are buying information. We are buying to understand what works and what doesn't work. You're trying to find out what is not working, so that you can stop doing it. Some companies will have very low budgets of say, $20 a day and it'll take them a month, or month and a half to test what works and what doesn't work. Whereas, if you have the right economic model, you can spend $500 a day and find out what works, and what doesn't work within a few days. Speed is very important. We discovered this concept from Dan Kennedy who said, "Money loves speed". The faster you do something the more money you can make because of the feedback cycle. If Business A has a feedback cycle of 10 days, in a month they can make 3 decisions to move forward and optimise their business. If Business B has a feedback cycle of 1 day, they can make 30 decisions in one month. There are 10 times the optimisation levels because there are 10 times more feedback cycles. The feedback cycle will vary depending on the price point and the platform. If you're selling a $5 ebook and you advertise it on Facebook, you will know on day one whether people are buying your book. The speed of the feedback is very fast. You will know if it is not working and whether you need to tweak something, or if it is going well. If you are selling a $1,000 webinar, you might have to advertise for 10 days to gather enough data to make a decision on whether, or what, to optimise. In advertising it's all a 'best guess in time', so after that guess you get the feedback cycle and you optimise from there. Companies that have a fast feedback cycle and a fast reactivity to that feedback cycle do well. Remember that you have to spend money to get that feedback cycle though, and the less money you can spend to get that feedback cycle the better. If you have a lot of

money to spend, that's fine, but the reality is that most businesses don't have much to spend.

We'll repeat here what we touched upon above because it is so important to understand and many people just don't realise it: you are not only paying for the customers that you get, but you are also paying for people who don't buy. So all the people that are targeted but don't come to your page, those that come to your page, but don't buy - you are still paying for them. So how do you monetize them? You capture their leads (their email, Facebook profiling, SMS, postal address), you retarget them, you sell them other products. You have to look at it in this way because you have to increase that AOV contribution. A lot of people that we work with, their whole focus is on conversions. "My offer converts at this, my upsell converts at that. But conversions, percentage points are irrelevant unless they are attached to a number." Converting at 25%, 25% of what? We need to be working on attaching solid numbers to our metrics in order to understand exactly where we are at, and where we need to go. We look at upsells, take rates and everything associated with a sale. These are all contributions to AOV. If your book sells for $5 for example, and your upsell is $100 and you have a 20% take rate, then that's $20 added to the AOV, giving you $25. Now you have your basis AOV. Basis AOV is the minimum that a person can spend in order for your AOV to work. If you just have a book selling at $5, your basis AOV is set at $5. As you also pay for people that don't buy your products, by capturing their leads, you need to utilize the leads to add to your basis AOV. You can retarget them, you can promote affiliate products, you can increase the branding value. Some, most definitely, will buy from

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you later. With our high end clients, we work on extensive follow ups to increase their basis AOV.

Here's some background to a concept that Alen co-developed with Jay Debell (a brilliant marketer and also a friend)...

On our offers that we run, we typically see a conversion rate on the front end of 8% to 15%. That's at a $5 to $10 price point. Go up to a higher price point and you have less percentage conversion rates. On a good day 3% of the people that see our ads are what we call 'instant buyers', so we don't need to convince them beyond our current marketing tactics. Then you have 15% to 25% of the people who never buy. They're not the right target market, it's just not for them. So these people that come to your page will never buy your products and there's nothing you can do about them. Some of these are the type of people who just moan or complain on ads, and who you eventually have to ban from the page. In between the 'instant buyers' and the 'never will buy', you have a few different segments of people all with different oppositions to buying, either real or perceived. Firstly there's the 'Not Now' buyer, who is somebody that wants to buy, but just not now. They're saying, "Stay in touch with me, because at some point I'm going to buy, but I don't have the time right now". Maybe the pain is not urgent enough at that moment, so you have to 'twist the knife' a little to move them over the edge for them to buy. There's also a physical limitation. For example, somebody could be on a bus or killing time between meetings, and they don't really have time to make a purchase. Another segment of people are those that don't believe in you; they need more proof. The remedy for that is social proof and testimonials. Then there's the "I don't have enough information yet" type of people. You send value bombs to these people and you give them more

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information. A subset of these exists who are asking, “Will this work in my current situation?”. The remedy for this is to dig deeper to work out what their situation is, by sending them a survey, for example, though this is a little more complex.

The next segment are those that can see that it works, but they don't believe they can do it. This is a big segment of the total. A lot of the people we work with tell us, “I know this works, but I don't believe I can write this book”, or, “I don't believe I can compile a course”. Following this group, we have the group that say, “I believe I can do it, but I don’t believe I will do it”. The way to talk to them is to simplify things to bring them back from their own self elimination. For example, someone considering buying a treadmill may talk themselves out of buying it thinking that they might get bored and just not use it, or even that they just don’t trust themselves to use it properly. So you need to simplify things and let them know why this is different and remove their self elimination. These days TVs are put on treadmills so you can watch Netflix or YouTube, which reduces people’s self elimination regarding the boredom aspect. It’s the same with the exercise bike. Indoors it can be really boring, but if you have a guide riding with you and when you add in the Peloton where you have hundreds of others cycling with you on a screen, it becomes gamified and much more fun. You are much more likely to use the bike and your self elimination for the purchase diminishes. In our Automatic Clients program, we appeal to people's fear of not being able to do it by having a facebook group of like-minded people where people help each other. These people are all doing the same journey together. This is why challenges tend to do well in marketing, because people are in it together and there is group motivation. A large and diverse segment are the ones that say, “I don't have the money”. For these prospects, you should build the

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perceived value up and sell on outcomes, because the reality is the entire Western civilization and most of the Eastern is run on credit. Everybody has access to money. Very few people in the Western world actually have a real lack of money. You need to reverse their objections. Giving a money back guarantee is a good way to counter this objection. The last resort for this group is to offer discounts.

Sidenote: sometimes you need to learn from what we call Dark Lord tricks. In marketing, as there is in everything, there exists a duality, whereby there are marketers who use their marketing skills for good to help others, and there are those who use their skills to take advantage of people in order to make money. Dark lord methods work and make them money but they are not ethical. As marketers, we look at what these dark side tricks are, and use them ethically in our business to get good results. You can still learn from the dark side and you can take some of the strategies and tactics and apply them to an ethical business.

Back to discounts. Be very wary of discounts on your initial product in your stack. Jay really drove this home to us and it's really important to understand. When you're buying advertising and people are not buying your products (but you are still paying for them), the first tendency is to offer a discount. If your product is say 5 to 10 bucks, how much more discount can you give them? We used to do that on one of our products. We'd offer a $2 or a $1 trial. What we found is if you give somebody a discount on the front end and they'll also want a discount on the upsell. If you have a $50 product, and you end up selling it for half, they'll want half on the upsells. When we used to run webinars, if someone did a multi-pay option, the upsells had to be multi-pay. Fortunately, the take rates would go through the roof, but it was

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because they were in the multi-pay mentality. Discounts will work, however, people with a discount mentality are the customers you don't want, because those customers don't typically take upsells, they don't buy your high ticket program, and they're not really good in your business community. You only really convert 2% to 6% when you default to a discount anyway, and what we've found is that these customers are just not worth it. Based on our knowledge of these segments, we create a different timeline of follow up sequences for each segment - that's ads, emails, SMS etc. Of those 15% to 25% that never buy, there's really not much you can do to get them, so you don't focus on them.

As a side note, it's important to distinguish between people that buy at a discount on an already inexpensive product from those that buy an expensive product. Take for example, a customer who receives a $5,000 discount on a car that already costs $50,000 – this is not necessarily a bad customer. A customer who wants a $5 product discounted to $3 is typically a bad customer. To be clear, these are not necessarily bad people, it's just that they don't make for a good customer. If they are motivated by those two dollars, that's not really a person you want to be doing business with, and it's a lazy way of getting the sale anyway. If you can't convert on mechanisms other than discounting, something is wrong with your advertising or sales copy. The last resort is to use price as a tool for conversion.

In direct response marketing, we create massive price elasticity because everything we sell, we do not class as a commodity. Importantly, and indeed what we need to focus on, is the opposite of non-commodity... and this is something that is unique, bespoke and very special; for example, this book is unique. We call it Exotic Knowledge. When you sell exotic knowledge, the

price elasticity goes up because it is unique - no one else but you provides this level of experience and knowledge and that has a value. In your supermarket you have several brands of milk and they are generally all competing on price, because milk is milk - there's nothing much to give it uniqueness. When we do direct response marketing we have not only a unique product but also a unique marketing system for that product. They are a one of a kind product and marketing system, so there is no alternative for a consumer to buy. If there were a particular type of milk that has particular health benefits and it was only produced from animals in a certain district of Africa, people will be prepared to pay a lot. And this uniqueness means there's no comparable alternative which creates the price elasticity, meaning you can charge more. Similarly, you can't go to a Honda dealership and buy a Ferrari. You can't go to a Toyota dealership and get a Lamborghini. It's called an exotic car for a reason. The word exotic attaches a massive price point that people are willing to pay. Lamborghini for example, has a year long waitlist to buy. When Ferrari has a brand new car out, in order to be considered as a potential buyer, you have to have bought several Ferraris before and over a long period of time. This creates an exclusivity where even if you have money, you can't just go and buy it, you have to go through this ritual which makes you feel special. Then there is this whole notion that people don't have money. Almost anyone can spend $5 on a book. If you can't get somebody to spend 5, 10, 50 bucks on a book, something is wrong with your marketing. Remember that your marketing should dictate the price, the price shouldn't dictate the marketing.

What's fascinating about Honda and other low entry manufacturers, is that they have the objective of building a car for $20,000, because this is their target market. They'll set out to

make the best car, with the best price, the best durability that can last 10 years with warranty. And they'll build it. When Ferrari or Lamborghini build a car, their priority is simply to create a truly great and unique car. They'll do whatever it takes to create it, then after it's built, they'll figure out what the price is - and it's going to be super high! And there's still a waiting list of people who are willing to buy.

The price point becomes the gatekeeper of who you let in. The fact that somebody can afford, let's say a car for $200,000 or $300,000 is not what is important about the person. The important thing is that the person has the capability to generate significant sums of money in order to buy that car. This person is going to have money in the future and is going to spend more money on other things. When someone spends a lot of money at an exclusive store like Louis Vuitton, they may spend twenty or thirty thousand. For this customer, it's not hard to sell them additional items. If you're selling to people whose limiting factor is money, you are going to have a hard time selling them more products later, because there's a lot of more important, essential things that come before you. There's the essential bills like water, electricity, food, rent, mortgage, and car payment.

When you're focusing on just getting the lowest, common denominator of price, you're also limiting yourself to future potential revenue. Because the way we view people and customers is like a renewable financial resource. When big companies such as Verizon look at their demographic data, they find that the average American has an income of $50,000. How can they get $1,200 out of a person each year? Well, everyone has a cell phone and therefore needs a network provider. That's how they do it. What we do is offer uniqueness in our products and services which allows the price to be a lot more elastic. You

should always give a tremendous amount of value in your products, as we teach in our courses. Even if somebody only ever spends $5 with you and they can't afford anything else, you still help them out as much as you can.

In our business, we have other more expensive products to sell where we are providing even more value and helping out even more. But if the way that we get somebody through the door is through a $2 discount, there's no way they're going to be buying those other products. And that's the case for most of our clients that are with us today, where they also have other things to sell. If they have to bait people in via a $2 discount, that's not really a customer they want. It's not that they're a bad person, it's that they're not going to buy the other things that you have to sell.

Data Types and Decision Making

One of the foundational pillars to successful advertising is being able to properly track your ads. Thankfully due to the times that we live in, this is easier than ever before. It allows us to make data driven decisions that let the numbers do the work for us. It allows us to test lots of different adverts as opposed to trying to be creative and not really having the data to back up our decisions. This is such a key concept that we will take a deep dive into this subject here.

Subjective and Objective Data

There are two types of data sets: Subjective and Objective data. Objective data is looking at data for what it is – the hard numbers. These are indisputable and never lie. It is observable and measurable. Subjective data is the interpretation of data, opinions and personal judgements. Subjective data has its place

but whenever possible, you need to focus on the objective data. Even when you look at objective data you've really got to ask yourself if it really is objective. Is there anything in it that's polluting this data that will affect your decision making? We've worked with a lot of people who start to run ads, and if after a few days something's not working, they start to panic and want to tweak their ad. They want to change things but they just don't have enough data points to make a good decision. That is subjective data because they are having to interpret and interpolate between their data points.

Advertising is important and strategically right, however the mechanics and creativity are secondary, anybody can learn to do that. A lot of your success is going to be on your offer and it's your offer that is going to convert a lot of the sales for you. The ad just presents itself to potential customers. When you're looking at the data, you need to respond differently according to the advertising platform it's on. It could be Facebook, YouTube, Google, or Instagram. You need to look at how the data works and check if it makes sense. For example, how many people saw your ad, how many people clicked, how many purchased, or engaged, commented or shared, and also demographics. One of our clients offers a high-end program. He came to us because his ads were not working. We looked at the data, and it turned out he was targeting people from 18 to 65+ years old and in irrelevant languages. His targeting was all over the place. Looking at the data, we found that the people who are actually buying his products were between 24 to 48 years old. Nobody from 18 to 24 was buying, and nobody older than 48, so we just needed to stop running ads to these groups. He stopped running to them and his ads started performing. All it took was a few little tweaks based on the objective data.

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If an ad or a campaign isn't working, people are quick to assume that advertising doesn't work for them. But nobody really has a campaign riddled with faults throughout. It's always a component problem. It could be a sales problem, a marketing problem or a targeting problem for example. You need to objectively evaluate which component is broken from the data. If your car breaks down, you don't scrap your car. The wheels are in order, the seats are good. Everything is good, just something perhaps in the engine is faulty. In the past we've given up on projects because they weren't working. We didn't look for the component problem. We just wrote the whole thing off instead, and this is a very common mistake. And it's a huge thing because everybody has this problem. When we did consulting in the past, clients would come to us and the first thing we'd ask is, "What is the faulty component?". They'd often answer that it just didn't work. But when we found the component and fixed it, everything worked. Another client of ours, came to us for help not long ago. He was running a YouTube campaign in the dog training niche and it was initially doing really well using our model. But his campaign suddenly stopped literally overnight. He was convinced his offer was dead. We had to reassure him that it can't just die. So we looked at all components and it turns out that ClickFunnels had one of those midnight updates, which had caused the checkout form to stop working. We fixed it and he was back to making good sales again.

You have to find out exactly what the problem is, and the way you do it is to go top to bottom. Are people responding to your ads? Yes. Good, you don't have an ad problem. Are people clicking on your ad? Yes. Are they coming to your page? Yes. You need to look at the entire funnel and find which component here is stopping the flow. You have to check all aspects, all angles. For

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example, a certain age of people are going to convert better; different genders are going to have different CPAs and AOVs. When Alen was running a supplement business, it seemed to break down on Tuesdays. He did a top to bottom check and it turned out that Tuesdays were just down days for people to buy. The cost of conversions was really high, and the value of the customers very low. On Saturdays we found the opposite to be true. So we reduced our budget by 90% on Tuesdays, and then increased it by 90% on Saturdays. The improvements were huge.

However, every advertising platform is different, because of this thing called 'intent'. On Facebook, users really don't have intent to make a purchase at all. Facebook places people in different buckets of levels of intent based on their buying activity and behaviour. Of a thousand people who buy a product, they are all placed in the buyer bucket, Then they are subdivided according to their recency of purchase. There are instant buyers, 24 hour buyers, 36 hour or 72 hour buyers, 7 day buyers, 30 day and 60 day buyers and so on. This is how Facebook computes the cost per click (amongst other factors). They look at everything and everybody differently and calculate an aggregate score for each individual. Anyone who has bought something from Facebook is a lot more valuable to them, because they can sell their click and their attention for a lot more than somebody who never buys. They know that this person will produce a certain result at some point, because a buyer is always a buyer.

In fact, this is why upsells work - because once a buyer, always a buyer. Once you get people in this buying zone they'll buy more and more. A buyer who buys your product, will also be very likely to buy everybody else's products as well. However, on Facebook, a person could be placed in the 24 hour buyer bucket one week, then the next week they could be placed in a non-buyer bucket,

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and when this happens you'll find the offer no longer converts. We call this the 'wobble'. Typically, when you increase the ad spend and you go to a higher volume, you get this wobble. Imagine a small boat in an ocean and in a storm - that little boat can get tipped over easily, but if you have a big boat it can withstand a wobble. In this analogy your AOV is the size of your boat, and your ad spend and volume correlates to the storm intensity. If you have that 10X we talked about earlier, you can withstand the wobble. With 2X (or less) where you're doubling your money, you might just break even, but that could be okay if you're still not losing money. Remember when you spend more than other people and you don't lose money, that is a good thing, because you're still getting the valuable data which you use to optimize. You have the data to look into things such as Gender specifics, who has a higher AOV, who has a higher CPA, and what ads work better and to whom. You can start slicing through the data to optimize.

If you advertise on Google, the only intent you can harvest is the keyword. When people go to Google, they search, and they leave. Google users' intent is therefore always very similar, which makes Google a lot more of a stable advertising platform. Once you get something working in Google, you can run it for years without touching it. On YouTube you need to find out where people are watching your ads, what's their reaction, are they clicking through? How long are they watching? You have to look at the data. What happens after they click on the ad to your page is another important metric. How long do they stay on the page? By using Wistia on the video, you can tell how long people watch on average. You can look at the data from different ads, to see which video performs better. As Ray Dalio put it, '...the stuff that I don't know far outweighs the stuff that I do know', and that's really the

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situation here. So we use data to gather more information and make decisions based on that. And this ties a lot into the idea that we wanted to go into next, which is the idea of Artificial Intelligence (AI) in ad networks and how ad networks are getting increasingly smarter.

Taking Facebook as an example, back in 2014 the skill-set that you needed to run Facebook ads was different. The things that you needed to be good at then are not the same anymore. In 2014 choosing the right targeting was critical to the success of the advertising. Now we have this increase in the intelligence of the ad networks, and some of the skills an advertiser needed to master are obsolete now. That's why we spent quite a bit of time talking about data driven decision making and using a lot of different ad creatives. If you create a Facebook ads campaign, we suspect that no matter how you choose your targeting, Facebook knows much better than you where you are going to have more success. Facebook knows that another group that you did not choose is going to get way better results, so they're actually going to deploy your budget over there instead. They will do that because it's in everybody's best interest. Ad networks are getting more and more intelligent, so something as simple as choosing the right targeting is no longer as important for the advertiser. So the way to be successful with ads in today's age is by testing a lot of different ad creatives and then looking at the data from many different angles to work out what doesn't work, and being able to patch that up so that it does works. If you had 10 different ads and one of them was working but you didn't know just yet, you would need to look at the data from different angles. So you might segment males and females, or different countries, or ages, or you might segment by the different ad creatives to try to find what is not working so you can shut that off. You can then

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re-funnel those budgets into what is working. The people that give you money don't cost you because they pay for themselves. The real expense in advertising is the people that don't give you money, so you need to work out who they are and eliminate them from your ads, if they are 'never will buy' types.

It's interesting to see how AI will develop for advertising. It's hard to teach a computer to be creative, but it could be possible with a little human intervention. For example, you could feed a computer five different product images. The computer would select words to create sentences and copy. The computer has access to all the colours in the colour palette. So you could have a computer create millions of variations of ad creatives both from an image and copywriting perspective. The computer and the AI in the ad network would be able to decipher all the data and make decisions based on that. We really see AI taking over in advertising a lot in the very near future, where the human input is going to get quite small. The only value that we're going to bring is being able to create the ad creatives that the computer can't really create itself.

Let's put a bit of perspective on AI and the depth to which it goes and how most people are unaware of what is happening when they go online, because we only see the surface level. Almost every human being on the planet has a tracking device attached to them in the form of a cell phone. Google and Android are massive. Take Google Search for example, everything anyone has ever searched for is stored there. Then you have Google Chrome, the most popular browser in the world. Every URL you've ever been to is logged, so they know exactly what sites you look at, how much time you spent on each page, how far you scroll on each page. Google owns YouTube so they know what videos you watch. They know what comments you leave. If you were to go

into a car dealership, they'll know, or if you go to a wine store, they know you're in a wine store, because they are tracking your cell phone data. So you'll start to see car ads or wine ads. They know all the text messages you send. If you use Google Pay they know everything about what you bought. They also buy data from credit card companies, so even if you don't use Google Pay, they know what you buy and your buying habits. Then there's Gmail. Google owns Gmail. They track and they read your Gmail. If you order anything from Amazon, Google scans and sees the receipt for this purchase from Amazon. It knows exactly what you bought. They also buy phone data from carriers, and so they're triangulating this data too. But it's a good thing for us. It allows us to target people in ways that we could never dream of doing before. They have this creepily accurate profile of people. It's the same with Facebook. These networks are like advertising economic engines, and it's in their best interest for you to spend more money advertising. The only way you'll spend more money advertising, is if you get good results. Society's privacy of their data is such a huge topic right now and it's for this reason, because there really is no privacy. Everything is being tracked. Google even knows how much you sleep. They know when you put your phone down, how you put it down on its back to charge compared to how it is when you're using it. For example, is it upright in your pocket or purse or is it stationary and flat on a surface. It also looks to see if you're running, and how fast you're moving, and tracks the altimeter to track your movements up and down. It knows the apps you're using. It knows when you're in the gym, what music you're playing... it is really crazy! So there are hundreds of thousands of data points on people which are utilised for all sorts of means, including advertising. Ten years ago before all these data points, we'd get 1% to 3% conversion rates on our offers and that was considered doing really well.

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Now we're able to get 8% to 22% conversion rates on our offers, because these platforms can match us up with the right buyers. We're living in a very special time because the data and the AI is here, but it's not overly saturated and it's not quite regulated yet.

This will resonate with a lot of people reading this... have you ever had times when you're hanging out with a friend and your friend talks to you about some product, and you go on Facebook later and that damn thing is right there advertised in your newsfeed!? Alen remembers looking at a particular jacket in a clothing store one time. It was a brand he'd never heard of before and he asked his friend if he'd ever heard of this brand. The next thing, he started seeing ads on Facebook for this brand. And it's happened so many times. You see, they also know when you're at work and when you are not, so they can target you at times you're most likely to buy. It's crazy and it gets really freaking deep!

We mentioned before that these networks also buy data. Before these networks existed, an advertiser would need to find mailing lists. There is a book called Standard Rate and Data Service (SRDS), and every local library in the United States has one. The advertiser would use the SRDS to find brokers from which to buy mailing lists. Nowadays, it's also a really good way to find markets. If you want to build an offer, you check the SRDS book, find some brokers and you look at the recency of buyers, so you can see who's buying what and when. Then you can literally go to Alibaba and run some Shopify stores. You can make a lot of money using this little trick because you just match it up with the Facebook AI.

We talked before about different buckets of people based on their buying intent and how there's different ways to segment people. These are 'known' buyers with certain buying habits, but what is

the value of running ads to prospects, versus running ads to buyers? When people come to us to work with us, they often tell us that they have this high-ticket program, and they are making good money. We would ask who their audience is, and they'd say that they got their clients through joint venture partners. We hear this a lot. It becomes apparent that they can only sell high ticket programs as long as somebody else turns them into a buyer. These customers are buyers already, so with the transfer of trust and authority, the conversion rates are a lot higher. If they'd had just prospects, the conversion rates would be a lot lower, because a buyer these days is worth 5X to 20X (in some markets even 50X to a 100X) that of a prospect. There's always going to be more prospects than buyers, but not all prospects become buyers. Once you get a buyer on your data segment, let's say on Facebook, you should really be targeting them to sell them more products because these people are super responsive - they're worth 20X. You can do what we call 'Inversion' where you run the upsells as a front end to buyers, and they'll buy. We have a client who is a mental health therapist and she also helps other mental health therapists get clients. We implemented an inversion for her business so when a prospect becomes a buyer from the front end offer, they also buy the upsell for $100 or $200 as a front end. Then they are taken through the back end $5,000 to $10,000 offers and it works really well. So, realize that everything is not created equal and buyers are worth a lot more because the activation energy has already taken place and they are much more likely to buy again.

When you are looking at the data, it is important to gauge the 'temperature' of the traffic on the ad platform you are using, because this will largely dictate the approach and the angle of the ad. We will look into this in greater detail later. On the scale of

cold, warm and hot traffic, Facebook, Google and YouTube could be considered warm traffic platforms, because of the detailed targeting and the other AI these platforms can do for you. Real cold traffic would be running native ads on Taboola or Gemini and being on the homepage of Yahoo, where you really have to take somebody from pure cold to a sale.

Ad Ecosystems

To run successful adverts you really need to understand why the network was created in the first place, because the user base of each of those networks has a certain modality to it. For example, when you're watching TV, you were in a different mindset to when you're listening to music or radio, or when you're reading a book or a magazine. You respond to different things in different ways. Similarly, people are in different mindsets when they are on different platforms. Facebook was built to socialize, Instagram was built to share images, YouTube was created to share videos, and Google was created as a source of information. You have to look at why people are there, but you also have to pay attention to their flow, how the user moves around the network. This is a really important concept to grasp because, for example, when you're on Facebook you have to look at how you flow and scroll around the ads. Your ad is set in between three to five posts, and it has to firstly stop the person scrolling, and secondly entice the user to click on it to go deeper into the process. At the same time, you have to do battle with all the other content above and below your ad, plus the bits to the side. Then you also have to compete with chat and comments and all the notifications that pop up, which distract the user. Depending on whether you're on a phone or a computer, you have to compete with the chat box on the right. Users flow on Facebook from top to bottom so when you're

scrolling through top to bottom your ad has to stop them and make them pause and then to go into it.

What works on Facebook wouldn't necessarily translate well over to YouTube because a person there is committed to watching a video. They might commit 30 minutes or more of their time to a particular video. Let's say someone is watching Joe Rogan for an hour. Here you have just 5 seconds to capture someone's attention during an ad break, or they will skip your ad. There's a lot more time commitment on YouTube, whereas Instagram is fast scrolling. It's a lot faster than Facebook so you have to have a lot more of an impactful ad to stop that scroll. Users are scrolling much more slowly on Facebook - they are reading posts and comments.

To illustrate the point that people use different social media networks for different reasons and when they are in different mental states, let's look at IBM and Netflix. IBM is a pure B2B company and Netflix is a pure B2C company. Comparing the number of 'Likes' each company has on Facebook and LinkedIn, we see that IBM has 1 million likes and Netflix has 65 million likes on Facebook, whilst on LinkedIn, IBM has 8 million likes and Netflix has 5 million likes. Two things we can take away from this are, 1) Netflix has many more likes on Facebook because the network was built for consumers, rather than for businesses. It's people who are in consumer mode who hang out on Facebook. IBM has more likes than Netflix on LinkedIn because LinkedIn was built for businesses and professionals to network. But interestingly, even though they are on a 'business' platform, their respective likes are of a very similar order of magnitude because B2B companies are less likely to receive likes than a B2C company, because it's usually consumers that do the liking.

Which leads us to, 2) B2B networks in general are much less prone to the use of likes (and other types of engagement) than the more social consumer networks are. On B2B networks people tend to be more reserved, wanting to appear more professional and do not engage as much.

When you are looking into all these different ad platforms, it's also very important to consider where your advert takes the prospect to, and what is presented to them. If you have an ad running on YouTube, you'd typically lead them to a page with another video, like a Video Sales Letter (VSL) for example. The landing page needs to be congruent with its source. However, if you have hybrid landing pages, as we do when we run ads, it doesn't matter which ad platform someone comes from, they'll be something for each of them on the landing page. So, we'll have a video, we'll have the information, and we'll have the written copy. It is an extension of the ad they're looking at and it's the same idea with Google. However, we often see people have a product or service to offer and they create ads without any consideration to the continuity of people's train of thought. On Google we have two types of ads: Google Display Network and Google Search. Google Display ads show up in a place where people are reading articles, such as Forbes for example. So your ad needs to lead them away from the article they are reading and alter their train of thought but still be congruent with the article environment. When people are on Google, they are seeking information, so your ad has to be informative. Your ad has to be the extension to that article. It has to be informative as well in order to fit into the ecosystem where people exist. This is the creative element, rather than economics. But as we talked about earlier, though it is an important part of the creative, and should be considered when honing your creatives, it's the economics that really matter. With

our clients, we recommend Facebook if they are just starting out with advertising, because it requires the lowest budget, and you can get hundreds of sales per day. Then as they become more seasoned, it's YouTube and then Google. The aim is to have one network as the primary network, and having supporting networks to amplify your results.

Location is also key. Think about this... when you're in the bathroom doing your thing, you're typically on Instagram, possibly YouTube (if you have more time). Here you've just got a few minutes so you choose something quick, where you can scroll easily to see what's going on. Each network caters to where you are physically. When you're on the couch at night you might be doing some research on Google. These networks lend themselves to different locations.

Optimism vs Pessimism in Markets (Hope and Fear Markets)

We got the idea of hope and fear markets from the stock market, where there are markets and niches that lend themselves to both hope and fear. At the time of writing this, a lot of the supplements are selling based on increasing your body's immunity. This is in response to the widespread fear of contracting Coronavirus. They're in a fear market because people are fearful of the virus. Business and entrepreneurial services often sell based on visions of a better lifestyle, such as building a better business so you can live the life of your dreams. Conversely, they can also appeal to your fears, for example, build a more resilient business so you don't go bankrupt. Optimism or pessimism in the market is another way to phrase it.

Your ads need to reflect the prevailing emotion of the market. If there is a majority of pessimism in the market, then to sell based on optimism and hope will not work well. Likewise, if it were an optimistic market, to go in selling based on pessimism and fear would be hard work. People are attuned to, and pick up on the emotion around them. Being in tune to this emotion of the market will help ad click through and conversion rates. Because of Coronavirus, we have a pessimistic market right now. There are pockets of optimism but generally, it is a market of fear. You can see it because all these conspiracy theorists are getting millions of views. When we were in an optimistic market, they weren't getting anywhere near that attention. The mood of the market dictates where attention goes.

We tend to take a lot more action in order to fix our pain or to run from fear, than we do to the lure of hope. If you have a really bad toothache, how long are you going to be sitting on that until you go to the dentist? Not long. Compare that scenario with if your teeth are okay, but you would like to have whiter teeth or straighter teeth. It's going to take a lot longer and require more persuasion to get some veneers, than it is to get a painful tooth fixed, and money is less likely to be a barrier when it comes to overcoming pain. The human brain is more wired for responding to fear than it is to hope. Even in religion, which is ultimately rooted in hope, there is also fear - fear of the consequences of doing wrong. Fear is rooted into our DNA because it allows for survival. We are more aware of the things that make us afraid than we are of things that make us happy. If you see a snake in the jungle, you become afraid of it and move quickly away because we don't want to be hurt. Without fear, we would remain close to the snake, and we're likely to be bitten. It is evident today from all the news channels pedalling fear all the time with the

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economy and Coronavirus. There's non stop fear-mongering, and you can't fight that. That's not to say you should create fear or optimism in the market, but you should channel and reflect it. Typically, your market will be inherently built on either fear or hope. For example, the survival market is built on fear and pessimism: what if catastrophic events happen and the whole of society collapses – you've got to be prepared, right? This fear is the mindset of the Bible space preppers. Personal development is always based on optimism and hope of a better future, so if you go in with a pessimistic pitch, they won't want to listen to you as they are not attuned to pessimism. You have to really figure out what state your market is ultimately rooted in and focus on that. Yes, pessimistic markets will have optimistic people, and optimistic markets will have pessimistic people, but ultimately your market will be leaning more towards one side. Are the people in your market running from pain or are they trying to gain pleasure in something?

Ad Spying

Firstly, a note of caution... when we talk about ad spying we do not mean copying. We have experienced this first-hand when the first ad that we created was copied by another very successful company, actually in our space. They created the exact same ad. They found the same background video, they found the same font. They found the same colors. They even went as far as somehow identifying the background music that we used in the video. And they use that to push their product. We get copied a lot now, and this is one of the reasons why we focus on the 10X economics that we talked about earlier, because that truly makes it irrelevant if people copy you. We got copied the other day. Two people copied our entire offer, so we had to get it taken down. But

when your economics are good, nobody can really copy you because they'll often copy the front end, but it's not possible for them to copy the backend. When we talk about ad spying, we are really trying to find what's already working and then model that to make your ad work.

Ultimately, all our advertising is based on our best guess in time. For example, everything we're telling you now is just the accumulation of everything we know, everything we experienced, tested, tried and failed. Now we're telling you what works. This is our best guess in time, and even with everything we know, we still go out there and assess what's going on and then we optimize from there. That leads to the question, "What's a better way to get a best guess in time?", and the best way to do it is to spy on other people. We look at who's spending money and on which platform.

The best indicator for a successful ad is the length of time it has been running. First, you need to find out what is currently running in your niche. Adbeat is a useful tool for spying on Google ads. You just enter in your keywords and you will start to see current ads. Next you need to find out how long these ads have been running for. When Alen used to run nutritional supplements, it was mostly Google based. Here is Alen on how he did it... Firstly I would take the ad copy of the current ad and enter it into Google. Then on the timeline on Google Search I would change the date duration and put in 6 months, last year and two years. This would give me Google's cached ad. If the ad is still running today, and the same ad from the cache is from six months ago or more, that means this ad has been around for at least six months. Nobody can be spending and losing money for six months on an ad, so you know it's got to be profitable.

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It’s the same concept for Facebook. If you see the same ads running over and over again, pay attention to that. You can also go to the Page Transparency section on their Facebook page, where you can see how long the ad's been running. A few people have even tried to create software to spy on Facebook ads, and some accounts got sued trying to do this, so don't do that. Ad spying is really more intuition than a science. Used in conjunction to ad spying, is finding out how much traffic a site is getting. Similarweb is a service where you can find out all sorts of things about a site’s traffic. You give it the URL, and it’ll tell you how much traffic they’re getting and from which URL, which gives you an indication of how well their advert is performing. If you put all the information together from ad spying, you can see if they’re running a successful offer. And this is your best guess at this particular time. You can model this ad safe in the knowledge that you are modelling a successful ad. Don't copy it - you have to respect other people's work. We were the first in the marketplace to basically run an ad with a book as the image. Now a lot of people are doing it and that's fine. They're not copying us. They're doing what we did, not copying us but modeling us, because there's really nothing that original, it’s just the product as the image that happens to be a book. Use ad spying for inspiration, angle ideas, and creative ideas and there shouldn’t be a problem.

The New AIDA

There are a lot of different formulas for copywriting, but AIDA is one of the most commonly used: Attention, Interest, Desire, Action. You get attention with the headline, you build up interest through the opening, you build up desire through testimonials, case studies, proofs, and then you initiate action with a button in the bottom, saying for example, “Buy now”. We've modified AIDA

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to include Verification and Validation. When somebody comes to your page to buy, they're going to see you, and they'll want to look you up. They'll want to see the reviews, if other people are talking about you. They want to know if you are a scammer. So we now have Attention, Interest, Desire, Verification, Validation, and then Action (AIDVVA). Specifically, verification seeks to address the concerns about whether a product or service actually works for other people. Validation is the process of working out whether it will work for you and your business.

We've had numerous people that we now work with who were wanting to buy our products, but who had last minute doubts. So they talked to other people in our group to see if we were legitimate and people said we were great. That was their verification and validation of us and so they bought from us. When Alen did consulting, all his clients were from word of mouth, and because that word of mouth is in itself verification and validation, it's already built in to the process. But most people completely ignore verification and validation. They've not engineered it into their process. They assume that people are not going to verify or validate their products or services and they just ignore it. You have to be aware that it is going to take place and so you have to engineer it in.

You have to pay attention to every one of these elements, attention, interest, desire, verification, validation, and then action. This is especially true when it comes to buying a high ticket item. If somebody is spending $5000, $20,000, or even one hundred thousand dollars on the backend, then it is going to be very important. You need to out-manoeuvre them by thinking, "I know you're going to want to verify and validate everything I'm

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telling you, so let me save you a lot of time and effort - go and talk to these other people who have seen results and will tell you so".

Here is Robert's observation around verification and validation when he is interested in a product or service...

When I'm reviewing testimonials on somebody's sales page, on numbers one to three, I am very cautious in case they are a potential scammer. When I'm on testimonial number four, I will start to warm to them, and by testimonial number five I will be thinking that they may not be scammers afterall. It will take testimonial number six to convince me that a product or service is legitimate. And It's going to take different numbers for different people, but you need to be aware that for some people two or three testimonials just won't be enough and you'll lose out on sales by not putting up a full complement of testimonials. This verification and validation process of testimonials is something I've noticed I do subconsciously, without thinking, and is just something I've noticed myself not consciously putting thought into it. If there's enough testimonials, my brain just goes, okay, they wouldn't go through the trouble of getting these many testimonials that are fake, so it has to be real. Everyone will go through this process to a greater or lesser extent, so as a capture all, you need to put plenty of testimonials up. Arguably, on low ticket items, verification and validation carries equal weight in converting the sale as on a high ticket. It all depends on how sensitive an individual is to mistrust, and where their threshold of mistrust-to-legit lies on their scale. For some a $5 offer would not need any verification; others may still want to receive proof.

Alen adds: If a product gets my attention, I go to Reddit, I'll Google different forums, I'm on Quora, and I look at what people have to say about it. If you look at the biggest e-com store in history, Amazon, they worked this out a long time ago. They knew

that people were going to want to verify and validate, so they let people ask questions and leave reviews. For example, recently I bought an iPad stand from Amazon, because I wanted to watch TV shows while rowing (it's boring doing 5 to 10,000 meters). There were a lot of them listed on Amazon, so I went to the listing with the most reviews. Then I checked the reviews and checked if it would fit an iPad Pro. Done. Verification, validation, done. People were saying good things which verified it to me, the buyer, and I bought it. I didn't really do much thinking, whereas before all that, I'd have to go to Google, and I'd have to go to different forums and ask questions. Amazon makes it easy for you and helps people save time. This is exactly what you need to do to help your prospects to quickly and easily verify and validate your products and services.

Testimonials are part of the verification and validation process. There are video testimonials or written testimonials like you might find on Facebook. You need to have objective third party reviews. Now there is this whole industry online of people doing nothing but reviews on products such as mattresses or computer desks or computer stands. They have realised that reviews make a huge difference to getting sales and they'll pay people to leave reviews. They're doing verification and validation for the potential customer. On YouTube now there's millions of tech reviewers that are basically just verifying whether a product is the right thing for people. If it's a good product, people are more likely to buy it.

One important point to note on this is that we all verify things differently. Some people verify things by watching a video testimonial. Some people verify things by watching 20 video testimonials. Some people verify things by reading a testimonial. Some people verify by reading 20 testimonials. Some people

verify things, not by testimonials, but by case studies. They want to see the whole process. Some people only do it through their own first-hand experience, so they will not be convinced until they experience it themselves. Not everybody is the same when it comes to the verification process. Either way, you have to engineer it into your marketing. We have engineered this into our marketing and advertising which eliminates that extra step a person needs to take in verifying us, leaving them time and energy to make the decision to buy.

Retargeting (and Why It Works)

Most people are probably familiar with retargeting in advertising. We're going to look next at why retargeting works, and we'll dig a little deeper into the different levels of awareness and intent of our prospects and customers. Retargeting works by understanding people's awareness and people's intent, and also the combination of these two factors. Take awareness, people are aware of your product when you retarget them, by definition. They have interacted with your website or Facebook page to a certain degree, so they know something about you. They may be highly aware or moderately aware, depending on how they interacted with your site and the length of time they were on it. They may have low awareness if they clicked away from your site immediately. People who are highly aware are typically easier to convert. For example, someone who owns a swimming pool and needs a swimming pool cleaner, clearly knows that their swimming pool needs to be cleaned. They are aware that they have a problem, and that they need a solution. They are both problem aware and solution aware, but unless they have had a pool cleaner before, they are not product or service aware. So this is when they will type 'swimming pool cleaner' into Google, and

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up come the results. As they read through the list of companies offering pool cleaning, they become more product and service aware. They are in a very high state of awareness and are likely to convert and hire someone readily.

A lot of people retarget with just a single campaign, and this is a mistake which is leaving money on the table. Each person has a different level of intent and therefore should be targeted differently. For example, with a medic client Alen had 10 years ago, we used long sales letters. On the page we had custom JavaScript using the Wistia video platform, which measured how long people were on the page for, and how far down they scrolled. Depending on how far people scrolled and read, we'd retarget them differently. We had different mechanisms that would effectively measure the intent of a person, and the intent on the page dictated the retargeting. If somebody came to our page (with the JavaScript timer running in the background), and stayed for 20 seconds, it would load up a specific Facebook pixel for this audience. If somebody was there for a minute, it would fire another specific Facebook pixel event. If somebody watched the video to the end or scrolled to the bottom of the page it'd load up another pixel. Now this was, and still is, super advanced, and you don't need to retarget to this level, but you do need to know which areas of the page correspond to different levels of intent in order to do the right type of retargeting. You should also have a pixel fire on the checkout page where someone enters credit card information, to capture an 'Add To Cart' event, because that will prompt a different type of retargeting with different ads. So, if somebody has been to a checkout page but hasn't bought, the retargeting ads will say something like, "You have one item pending left in your cart" as a reminder.

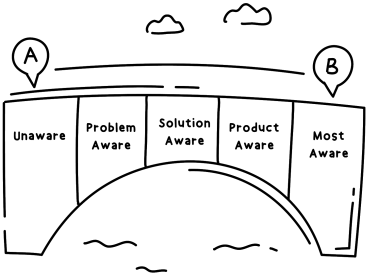
If you look at Amazon or other eCommerce stores, they will retarget you to remind you that you have an item pending in your cart, and prompt you to complete your order. They might even tempt you further by saying you have new bonuses added. Of course, if somebody doesn't go through to the cart, you don't want to run this type of retargeting, as they didn't get as far as the cart. They may have just watched, say, 10% of the video, so your retargeting has to have videos that complete where they left off, or you can just run that video as a whole, as the retarget ad. They could have left for any number of reasons. Maybe they were too busy, they put their phone down, or they got a text message from somebody, so you need to re-direct and complete their train of thought back to when they were on your ad. When you're running ads or retargeting ads people tend to imagine that there's somebody sitting there devoting their entire time and attention to you. In reality, you're just a small fragment of their environment - you're battling to win their attention over text messages, Snapchat, Instagram DMs and YouTube.

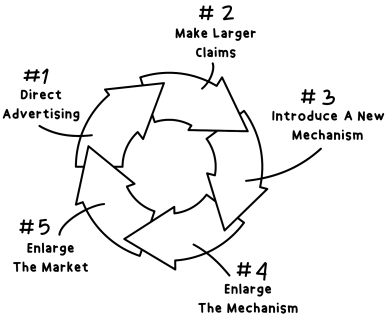
Generally, if somebody comes to your page and leaves soon after, you should have video retargeting. You can put video retargeting ads on YouTube to get them back to your page. You can't put videos on Google, but you can have an image ad that sends them back to your page. So it is really important to work out where the high intent is on the page, set the Pixels or code around these areas and retarget accordingly. There are many ways to gauge intent on a page. For example, one of our sales pages has 12 different buy buttons. So we can retarget depending on which button they clicked to go to the cart page. We know how deep they went down the page and which area they got to. If they are in the testimonial area, and click the buy button there, then the retargeting ad will have a ton of testimonials. If they're down by

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the proof shots, then the retargeting ads are going to have proof shots. If they're somewhere up the top of the page near the video, we'll retarget with a video.

When we first started doing retargeting 12 years ago, it didn't really work. We found that if somebody came to the page and didn't buy, getting them to buy with retargeting was super hard. We just couldn't figure it out for a long time. But once we started looking at different levels of intent on the page and we retargeted based on this, that's when it started working. The same thing can be done with emails. With something like Active Campaign you can put in different triggers. If a button is clicked or someone scrolls to a certain area, then a specific email goes out to them. A lot of people treat retargeting as just one thing – they retarget everyone with the same capture-all level of intent. But just because two people looked at your page, it doesn't mean that they are both at the same readiness to buy. One person might have just jumped on your page and watched two seconds of your video. The other might have spent 20 minutes on the page, watched the whole video, and gone to the order form. They then might have got a phone call and had to leave. These are two very different people and need retargeting in different ways.





Chapter 4

Things To Consider When Creating Ads

Market Awareness Stages (Market Size and Difficulty)

We first learned about market awareness stages and market sophistication from Eugene Schwartz, and this was a pivotal discovery for us. When we created the 2 Hour Agency offer, where we were trying to convert people who bought a book into a 5, 6, or even a $10,000 buyer, we realized that we hadn't put in mechanisms to increase people's awareness about the problems

they have, and the products that we have to offer as a solution to their problems. When we created and put out content, it wasn't as strategic as it should have been. When someone buys a $5 ebook, they're not at the stage where they're also ready to buy a $5,000 or $6,500 or $10,000 coaching program. There's a gap. This is where we came up with the idea of the "awareness bridge". See the Automatic Clients book for more information on that.

Let's expand on the concept market awareness here. Schwartz realised that there are five different stages of market awareness: you begin at 'Unaware', then go to 'Problem Aware', to 'Solution Aware', on to 'Product Aware', and finally to 'Most Aware'. Of course, the more aware someone is, the easier the sale is going to be. Take someone who types into Google Search, "White iPhone 11 Pro 128G". This person has done their research and knows exactly what they want, and you are going to have a hard time convincing them of buying anything else. This person is 'product' or even, 'most aware'. Somebody else who is completely unaware will need approaching in a different way. If you reverse the direction by starting from the most aware stage, and you go to 'product' aware, to 'solution aware', to 'problem aware', and then to 'unaware', the market gets bigger and bigger. So the 'unaware' market is the biggest market and where most of the money is. But it's also the most difficult market to crack because you're dealing now with people who don't know they even have a problem, so they're not really looking for a solution. As we've seen, retargeting is really effective for those that have already interacted with you, because the people that you are retargeting have a level of awareness that is much higher than those who are completely unaware. Often all you need to do is put the product name and the price in the ad and your work is done, because they've already been to your sales page, maybe even to your order form. They just

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didn't buy for whatever reason, and your ad is their reminder to buy. When it comes to the most aware market, its people are said to be influenced in a similar way as a utility might influence. They are in the utility space. Conversely, the least aware are in the commodity space. For example, electricity is a utility. Everybody knows how it works, why it's needed and for what, so you don't need to do much to educate people about why they need it. An electricity company, therefore, really only needs to run branded ads to attract new customers.

Most people run Facebook ads, Google ads, and YouTube ads to generate sales; they don't run branded ads as it's usually regarded as being only for the large corporations. However, one of our best kept secrets (until now!), which is really powerful, is running branded ads on Google search. It has the highest return on ad spend (ROAS) in existence right now. If someone searches for "2 Hour Agency " on Google, for example, it displays as a top two listing, but it also appears in their shopping, because shopping gets placed on top of Google Search, particularly on mobile devices. This helps tremendously as brand awareness turns into sales. You can also do branded ads on YouTube, Facebook, and Instagram for the purpose of keeping at the forefront of the mind of a potential customer. Wherever there's a market there is profit to be made, and this attracts competitors. The only time people don't want to enter a market is when there's no profit or there's a barrier to entry, meaning it requires too much capital, human energy or time to enter the market. So you constantly have to be at the top of the awareness in the mind of your customer, otherwise somebody else will take that top spot and out compete you.

When people see an advertisement for a product or service that interests them, most want to do their own research. They will

type their search term into Google and read the reviews. This is where most advertisers are leaving a lot of money on the table. These are probably the easiest conversions you're ever going to find, and we have data to back this up. With searches for my name, “Robert Neckelius” or for, “2 Hour Agency”, we were getting sales for $5. When people see my ad, they'll go to YouTube or to Google and they type in my name and then the ad for my product will show up right there - these people are the low hanging fruit and the most aware.

Going down one level to the product aware, this is where verification and validation is most effective. People who are product aware are heavily influenced by proof. They're already aware and interested. There is already a desire and they know what you're selling, but they just haven't seen enough to convince themselves yet. So testimonial ads and case studies work very well for this market. The solution aware people know they have a problem and know generally what they need to fix it but they don’t know which specific companies, brands or products exist. They need to be introduced to your product or service in order to make the sale. The problem aware understand that they have a problem, but they do not realise that there is a solution to it and they certainly don’t know about any products to help fix their problem. These people respond well to Problem-Agitate-Solve type of advertising, whereby you need to spend a little time on agitating the pain and dramatising it, making it more painful. A lot of these people are not motivated enough to fix the problem. They’re saying, “Yes, it would be nice to fix it, but it's not really a huge problem for me right now. It's just not going to ruin my day”. Amplifying the pain and stating the consequences of not fixing the problem is key here. The unaware people don't even know that they have a problem. As Eugene Schwartz pointed out,

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the only thing you can really do with these people is to talk about the audience. You can't really talk about a problem or a product because that's not really going to attract those kinds of people.

Talking about an audience is perfectly illustrated in the 1924 advert, “Why Men Crack”, by agency Young & Rubicam. In it, the ad talks emotively and strongly about how men striving for success become broken and burnt out. The ad then goes on to introduce a cereal drink called Postum which it says has helped two million people to stop drinking caffeine, and has a tear-out coupon right at the end to order a free week’s sample and an invitation to try it out and order 30 days worth of the product.

Here is an extract:

> “Why Men Crack...
>
> An authority of international standing recently wrote:
>
> “You have overeaten and plugged your organs with moderate stimulants, the worst of which are not only alcohol and tobacco, but caffeine and sugar.”... He was talking to men who crack physically, in the race for success.
>
> You know them. Strong men, vigorous men, robust men - men who have never had a sick day in their lives. They drive. They drive themselves to the limit. They lash themselves over the limit with stimulants. They crack. Often, they crash.
>
> You have seen them afterwards. Pitiful shells. The zest gone, the fire gone. Burnt-out furnaces of energy....”

This long form ad made huge sales by talking about the audience in the headline (Why Men Crack) because they were appealing to ‘unaware’ people, who in fact did not know they had a problem,

and that's why the headline focused on the thing they all had in common: they were all men... who didn't want to "crack"...

When it comes to different levels of awareness, it's important to understand that they're not completely distinct from each other but they are in fact part of a gradient. There is a place that exists in between each level. These are the transitory levels, and it is at these transitory levels where a lot of the sales actually happen. Take webinars as a sales tactic, for example, most people are aware that webinars can and do work, but they're also completely unaware as to why they don't work, when they cease to work. These people are solution aware – they understand that webinars work and they'll get the sales, but when they can't make their webinars work, they're unaware of why that is because they don't even know what the problem is. You have to identify these in-between states to be able to successfully run an offer where you could explain what stops webinars from working, and give an example, which is the verification and validation. These transitory, or in-between spaces, are really important. Understanding how that gradient flows between two levels is more art than science, but once you start looking at them, you do start to pick up patterns.

In 2004, we started doing advertorials where we were promoting affiliate products. We were running a lot of traffic on various news sites, because back then that was new and very lucrative. We posted about and described an affiliate product on what looked like a news site or a blog. This environment was isolated from other distractions you might normally have on a blog or a news website and so we would get a lot of sales. This is because, if you have attention isolation, conversions will go up. When you isolate the person in an environment to consume your sales message, the environment has to be familiar so they're not

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thinking about the environment but are fully focused on the sales message. If they're constantly thinking about the environment and not focused on the sales message it doesn't work. These intermediary pages weren't to deceive anybody (we needed to put a disclaimer at the top, legally), but rather to achieve that familiarity of the environment. This worked really well as it would warm traffic up to the sale.

Advertorials can be very powerful and effective. The advertorial was born out of what is known as a Tear Sheet. In the 1970s and 1980s the direct response marketers of the time would print a sales letter on newspaper. This was the tear sheet, which they would literally tear off and then put in an envelope in the mail to a prospect. It looked as though they received a newspaper peice or somebody had mailed them an article that might be of interest to them. If you wanted to promote a weight loss supplement, you wrote a sales letter in a newspaper style, you tore it off and you posted it. There would be an order coupon at the bottom for them to fill out and respond to, sending in their check. The probability of that person consuming the sales message was relatively high using this method.

There is a notion of traffic being cold, warm and hot, but this is not strictly true. Like awareness, traffic also runs as a gradient. People go to Yahoo for many different reasons, and not necessarily to buy anything. If you're running an ad on the homepage of Yahoo, it's hard to get someone to click on your ad and buy your product. So you have to have some type of advertorial whereby you move them out of their environment (i.e. Yahoo) and start building the sales process leading to the actual sale. Facebook and Google are not pure cold traffic because there's a lot of intent behind users going on to these platforms. With Facebook and Google you don't really need editorials or

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advertorials to make things work because the traffic is already pre-qualified, pre-selected and pre-validated. Whereas with pure cold traffic in native ads, you typically have to have advertorials in order to make your offer work. In an unaware market advertorials are a good way to warm people up because there's a higher likelihood that they will actually consume the information - it doesn't seem like an advertisement as it's more informative.

To understand the significance of advertorials and other forms of advertising, you have to look at the evolution of the internet as a whole. Initially the internet was built for communication. It started out as a military project and then started being used in universities. At some point it transitioned into becoming an information sharing platform when blogging became popular. Then it ended up turning into a media platform. The internet today is all three of these; it's a communications platform, it's an information platform and it's a media platform. But in reality, the latter stage dominates the previous stage, so we are really in the media stage right now, and understanding this allows us to make money. When you're looking at advertorials and creating ads, you have to realize that you are first and foremost focusing on a media platform, and that media transmutes into information, and that information turns into communication. So it works backwards whereby the dominant layer, media, communicates our message, and people communicate based on that media, so creating a world wide information bias. We'll explore this concept later in this book but I'm introducing it here, because when you start looking at it in this way, you can see how, when people are consuming content on media platforms, it's more important than ever to get to them to consume the content via the ads in order for a sale to take place. Before a sale ever takes place, somebody needs to enter in their credit card information. Before they enter

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their credit card information, they need to go to your checkout page. Before they go to your checkout page, they need to have read your sales page. Before they read your sales page, they have to click on your ad, and consume your ad media and content. So you have a media platform where you're getting them to consume your media, and you offer a little bit of media and content at each subsequent step in the sales process, ultimately leading them through to the sale.

These different awareness stages are really important to keep in mind because it guides you towards your advertising angle, and ideally you should be advertising to all of them in different ways.

Market Sophistication

There is a cycle that every industry goes through. Eugene Schwartz identified this as market sophistication. Some industries have been around for a very long time, like weight loss and tobacco, whereby their marketing is now going through the latter stages of the cycle.

The 5 Stages of Market Sophistication

The first stage is when a market or industry is brand new. It is pretty rare to be entering a brand new market these days, but the marketing is very simple and very direct. An example of this was when the fat loss market was in its infancy and Eugene Swartz used, “Now! Lose Ugly Fat”. It was a very direct headline with nothing fancy about it, but it was punchy, direct, and very effective.

A more modern example would be Tesla. When Tesla came out, all they needed to say to the audience was, “Electric Car”, and

that was that. They didn't need to say anything else because they were the first in the market. Everybody knows what a car is but this was electric and new and an easy to understand concept, so they didn't have to do much marketing to explain what it is. In contrast to Tesla is the Toyota Prius, which was the previous electric car. They had to do a lot of explaining because it was more complicated. The Prius was a hybrid so it runs on gas and also on electricity. They had to explain about the power split or the parallel use and the recharging. All this had to be factored in for the advertising to work. When Tesla came along, it was simply "Electric Car", and that's all they had to say and everybody instantly understood what it was. The first in the market needs to simply convey just what the product does, and what it does that is unique that nobody else does. You can't promote something that everyone else promotes and just say your sales message differently, because it doesn't work like that.

The second stage of market sophistication is where a market is in prime competition. You can't claim your product is new anymore, so now you have to make larger claims. In the electric car market Audi has entered with the e-tron. It's now not enough to simply say, "Electric Car", they are going to need to make larger claims such as their range, charge time, or price. In the weight loss market, the claims were to lose more weight in less time.

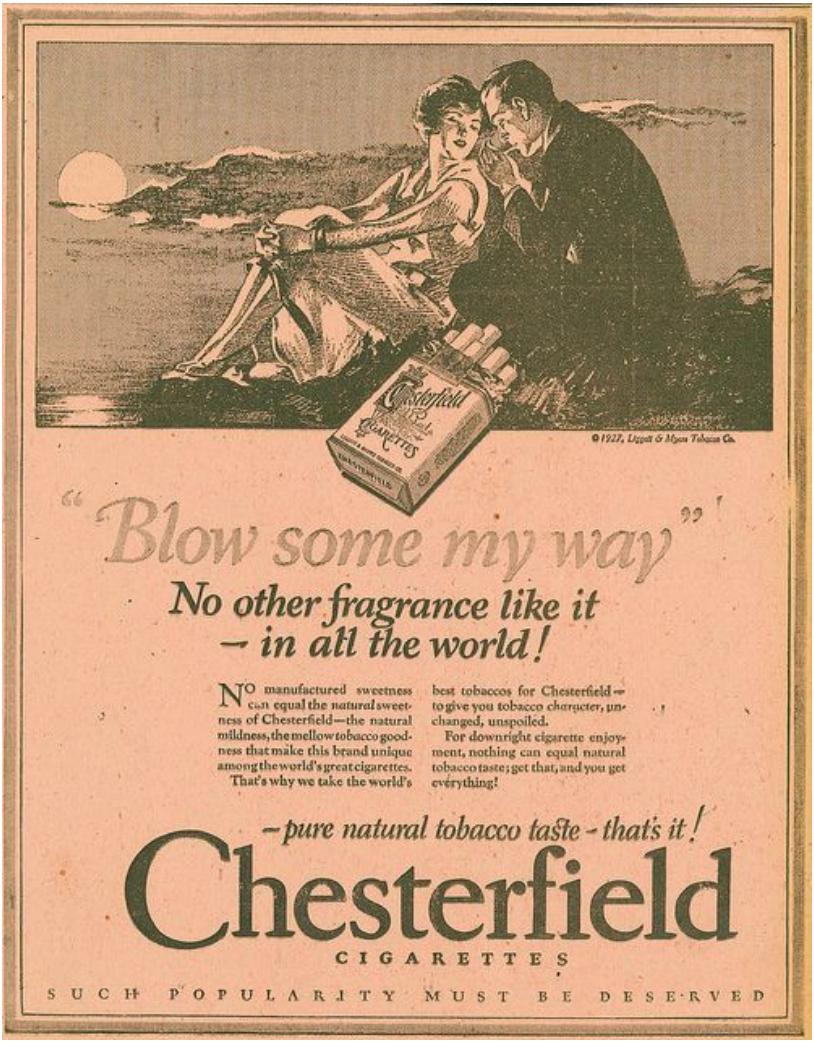
In the third stage you can't get away with just being really direct or making bigger claims because that's been done already. Those campaigns get less and less effective. In this stage you introduce a new mechanism to refresh the product. In the weight loss industry, they started coming out with these diet plans where you didn't have to be hungry all the time. One headline was, "I am 61 pounds lighter, never a hungry minute", meaning up until that point, it was all about losing weight. The downside of that was

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that you were going to have to diet and cut down your calories so much that you were hungry all the time. In stage three, you're still going to get all the benefits, but none of the downsides, because we've fixed that for you as well. In the car industry, it is going to be the introduction of the solar panelled body. It will be charging all the time, whilst you drive, so you never have to plug it in to charge. This is likely to be the next iteration of it, but Tesla has already started stage three with its introduction of the self-driving car and with the solar panels of the self-charging Cybertruck. We'll see the introduction of more mechanisms over the coming years in the electric car industry.

The fourth stage is similar to stage two in that the mechanisms are enlarged and enhanced. New mechanisms are being introduced less and less, so we make what we do have bigger, faster, and stronger. But eventually this becomes less and less effective, and we begin to enter stage five.

In stage five the market is enlarged, not necessarily by creating demand, but also by finding untapped sources within the market. A powerful example of this at work, is when smoking was introduced to women in the late 1920s. Before then, it was socially unacceptable for women to smoke, and only men did. One of the first ad campaigns to target women was by Chesterfield cigarettes with an illustration of a man and a woman sitting close together in the man's car. The man is smoking a cigarette and the woman looks longingly at it. The caption says, "Blow some my way", suggesting that women also might like to smoke.



Ads like these enlarged the market for the tobacco industry and made Lucky Strikes the most popular brand of cigarettes within a decade. Once a new segment of the market was found, the tobacco industry also introduced new mechanisms that are specific to the new market. They started introducing filtered

cigarettes to appeal to women, because before these, they were just smoking without one. So the process cycled through the stages again, by introducing a new mechanism, then enlarging the mechanism, and so on.

Innovation and Market Sophistication

Market sophistication is built on innovation. Consultant and influential thinker on management, Peter Drucker, considered innovation to be a key progressor of market sophistication. He is quoted as saying:

> *"What all the successful entrepreneurs I have met have in common is not a certain kind of [entrepreneurial] personality but a commitment to the systematic practice of innovation."*

With our clients, we focus on innovating all the time, doing new things, because if we don't innovate somebody else in the market will. Either you increase the market sophistication for your market, or it's going to happen without you. And the only way you can do it is through constant innovation. You can't innovate being a 'fast follow'. This is where somebody else innovates, and the fast follow tries to do what they are doing alongside them. This is what Lyft were doing to Uber in the early days, whereby Lyft were a few weeks behind Uber's innovation. Uber was trying to innovate; Lyft was trying to follow. However, you don't look at the market and innovate for the sake of innovation, unless we have customer intimacy. You have to be really close to your customers to have customer intimacy. You have to talk to them and listen to them, pay attention to them, see what their experience is with the product and service and see how they use it. Adoption is key though, for example, many people preach that 'content is King'. It's not, it is the value of ideas that is King. But

more importantly, unless you have the adoption of the implementation of your ideas, nothing changes.

Innovation drives the market sophistication model forward, which allows the innovator to win long term. Apple is notorious for this. Apple tracks everything you do on your phone. Every iPhone that comes out is based on all those little touches, the way you touch your phone, the way you hold your phone. It's all being sent to Apple, so they know exactly how you interact with your phone. That's why every iteration of the iPhone feels very natural and it feels organic. It's because you have millions of people touching the phone and using it constantly, and all this feedback goes back to Apple. Most marketers don't have this level of access to their customers' feedback. It's as if there is a wall between you and your customers. You're throwing over marketing ideas and you're hoping they land in the hands of your customer. Eventually a customer over the other side throws you money back. And this is the difficult thing: you have to get rid of that wall, you have to be in tune with your customers.

The male grooming industry is going through an interesting stage of market sophistication. Razoerblades started off with just one blade, and then for each product that came out, they started adding more blades. We went from one blade to five blades. This was their way of introducing a new mechanism in order to refresh the marketing angle. Then recently, the new mechanism that they're using to get sales has interestingly been going back to one razorblade and this now became the unique selling proposition of that product. Now they're saying ONE razor blade is what you need because it will decrease irritation and such. Very fascinating. If you pay attention you can see the market sophistication cycle taking place in every market, and if you think of a mass market product that you've been familiar with for many

years you can probably think back to some campaigns or events that were clear signs of the market entering a new stage of sophistication.

Selling to Emotions and Outcomes

People buy products and services for the outcome they envision the product or service will provide them. If you buy a Tesla, what outcome are you buying? You're buying the outcome that you never have to get gas again. You have this awesome piece of technology which is ridiculously fast, and it can drive itself. That's the outcome. Nobody's really buying things for the sake of buying things because right now, we're living in very abundant times where credit is very easy to get. There is excess capital everywhere, so even though somebody might not make a lot of money, they still have access to credit giving them the ability to buy things to give them outcomes. Ten years ago, the iPhone was $300. Other phones were $120 and even that was a lot of money. Now iPhones can be bought for $1800 and people are paying that.

When the iPhone X came out it was priced at $1,000, and people were saying that it was ridiculously expensive. But it broke all sorts of sales records. It's the same thing with shoes. Before Jordan's, shoes were around $50 to $60. When Jordan's shoes came out, they were selling at around $150 to $180, and people started looking at them as a status symbol. People wanted the shoe to go beyond a mere utility. The status it gave them was the outcome they were buying.

As well as influencing the outcome, emotions can be used to get attention and move people to take action. Different advertisements are used to play to different emotions as we all have different emotions at different times in our lives. If you're

not invoking any emotion in your advert, you will not have as good a response. A few emotions that are used really effectively in adverts are happiness, anger, disgust, sadness, fear, and surprise. Below we have some examples of adverts that are based on these emotions.

Happiness

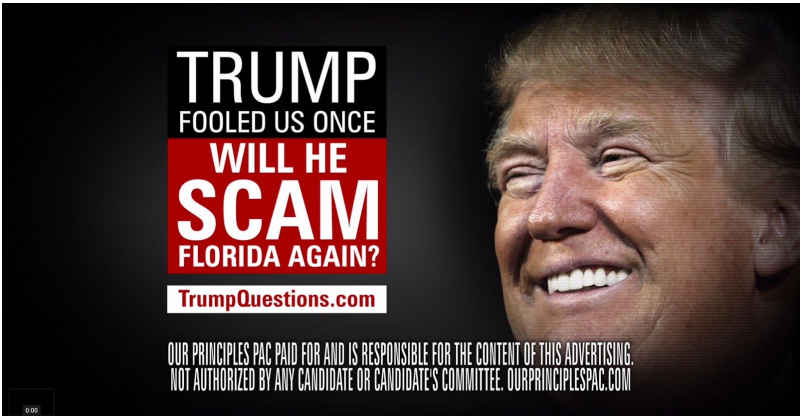
By far the most used emotion in adverts is happiness. Coca Cola's Christmas ad represents this. It's smiles, cheer and happiness everywhere. And if you want to get the outcome, if you want to get the smile, you need a Coca Cola!



Anger

Anger is often used in political campaigns. Here's one with Trump where it says 'Trump fooled us once, will he scam Florida again?' This is supposed to trigger you and turn you angry enough not to vote for Trump.

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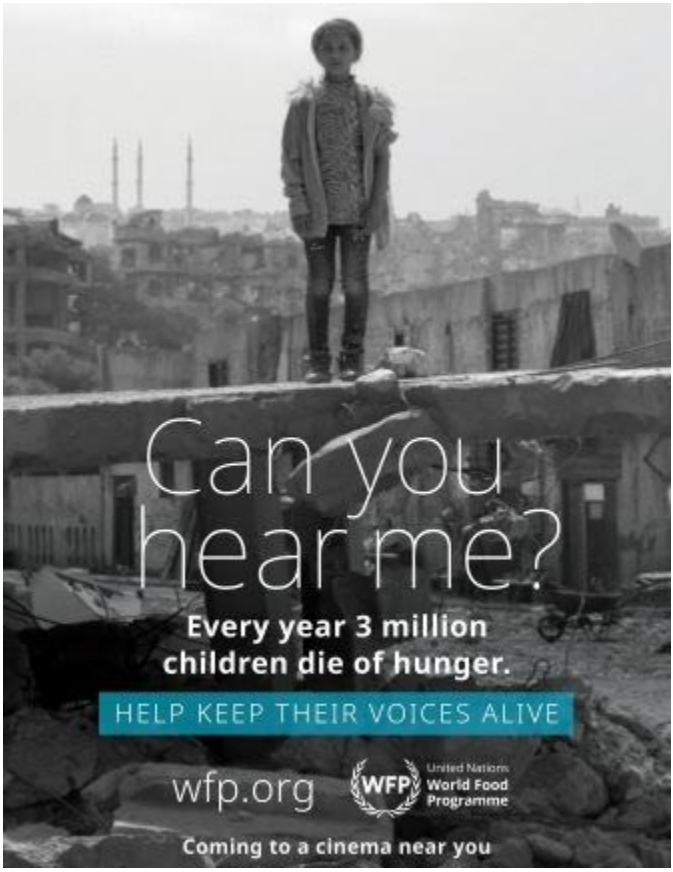
Disgust

Anti-smoking campaigns typically use really nasty graphics to trigger you to stop smoking. They'll show you the contents of your lungs after you've been smoking for a few years to trigger that disgust.



Sadness

The World Food Program uses the emotion of sadness in their adverts. They'll often have a sad child pictured who is literally starving. And then they'll further compound this emotion by telling you that every year 3 million children die of hunger.



Fear

Fear is also a very powerful emotion to play to, and it is the emotion triggered in one of my favorite ads ever, just because I think it is very clever. It's an old newspaper ad where someone is looking at the poor state of his neighbor's house and he says, "Jones must be broke". This triggers the fear emotion for many people, because if others in their social circle were to think that you are broke, it would invoke a sense of shame in failure and lack of success. Fear can often be interchanged with pain, as they trigger a very similar emotion.

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Surprise

The next example is a warning advert for parents who store detergent. The ad shows a few different detergents placed on a shelf, and in a split view displays how children might see them, with the headline, "children see things differently". The bottles have turned into things that are playful and exciting to children and that look really inviting. A child might want to open one up

and have a drink to see what flavour it is. It also introduces a new idea and people will talk about it. It's a disruptive idea that teaches us something as well, so there's a bit of value in that as well.

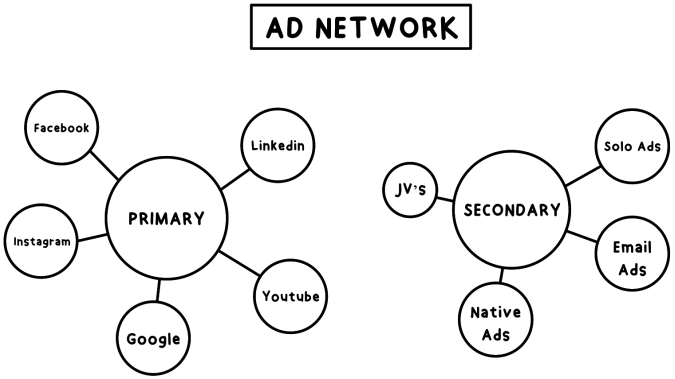


Selling to outcomes and selling to emotions are interlinked. Selling to outcomes should be predominant and take the lead role in an ad, and emotion should be supporting it. In the Trump example above, they're selling the outcome of Trump not winning. But then they're using the emotion of anger to trigger that outcome.

A lot of these ads we referenced above are mass market branded ads. For smaller and niche ads the approach has to be adapted to the situation, and to where the person is in their space. Gary Halbert used the emotion of disgust to sell weight loss on radio ads. He ran an ad where he just flat out told people how

disgusting they were for being fat, and that they needed to do something about it. It didn't work at all, it totally flopped. This illustrates that you have to be really careful how you use emotions, because everything you do generates a reaction. Because Gary Halbert used disgust, it triggered shame and anger, but it was directed back at him. The Trump ad is trying to trigger anger at the Trump administration. When you're running to emotions, that emotion will be directed somewhere, and you have to make sure that it gets directed where you intended.

Some markets are based on deep rooted emotions. The survival market is always based on fear and a little bit of anger, and they're always trying to stir that up. You have to be careful because if you're using emotions on your sales page, but you have a different type of emotion in your ad, it's going to create incongruence, and that's not going to work at all. In order to create this shift in emotional state on a sales page, you should be more aligned to the outcome. You use the sales copy to express the desired emotion of the outcome. You will attract what you put out there, so you do need to be careful with what you do. This is why the vast majority of ads fall into the happiness category because that's really what those companies are selling, and it's the kind of customers that they want. If you're running shame ads, for example, people are going to start associating you with shame. And as we've seen, shame can also generate anger, and if that anger is directed at you it will have bad implications for your business and brand. You can think of emotions as like seasoning on food, you use it to taste, but you don't just throw it all on and overdo it, otherwise it leaves a nasty taste in your mouth. Focus on selling outcomes and then use emotions here and there as a touch to push it to the sale.



Chapter 5

Ad Networks and Why People Visit Them

In this section we are going to dig a little bit deeper into people's differing behaviour on different ad networks. As we saw before, people are in a different mental state when they're visiting different ad networks or social media platforms. The key to understanding this is to look at them as primary and secondary ad networks. Primary ad networks give us access to sophisticated ad functionality such as targeting and reach, and measurements

of the effectiveness of our ads by giving us reporting. Examples of primary ad networks are Facebook, Instagram, Google, LinkedIn and YouTube. Secondary ad networks are characterised by a reduced means of targeting and of measuring effectiveness. Examples are native ads, email ads, solo ads, and joint ventures (JV). There is a certain level of sophistication of both the ad network itself and of the users on the platform as well.

To advertise effectively on a network, it's important to look at it in context with its history and why it exists, then you will understand how users interact with it. This will enable you to work out how to best set up and run your campaign. We'll look at each network in turn here in the following sections. First let's recap on something we discovered earlier, which is key to the understanding of this section. The internet progressed in three stages. First was the information sharing stage in which information was uploaded in the form of HTML pages. Next was the social stage where people were chatting in forums. And now we are in the media stage, an early form of which was Blogger. Facebook was born in the social era and continued to become dominant in the media stage. In the early adoption of the internet in the early 1990s, information pages were becoming more common but you had to know what you were looking for. By the mid-1990s people were able to search through directories of information for the first time using Yahoo and Craigslist, making websites and web pages more accessible to more people. With the advent of email and forums and web services from the likes of America Online (AOL), the social age was beginning to take over. MySpace began in the social layer in 2003, but they were to become a really poor media layer as you couldn't really upload songs easily because it was clunky. Then came the media age with the rise of firstly downloadable, and then the streaming services

of Netflix and other media based services such as YouTube. But it's not as simple as these three stages where one replaces another. The internet is a platform where these stages exist on top of one another as layers with one layer superseding the previous. Once you understand how ad networks came about, why they exist and why people use them, you can begin to learn how to advertise on them.

Primary Ad Networks

Facebook

In 2004 Facebook was founded. Facebook understood that they were a social network in a social era. Their interface was clean and they moved away from the portal type interface that MySpace used. They enabled easy upload of images and video, and so it became a media platform as well. These networks' functionality, design and purpose were dictated by the speed of the internet at the time. Early internet was limited by a 56kb bandwidth, so people were limited to putting out HTML pages. The introduction of DSL enabled real time chatting and forums to dominate. Now with 5G we can do a lot more such as upload 4k videos. People tend to think that changes to marketing and advertising are due to a change in the audience, but it isn't. Because of human nature, the audience rarely changes. It is the points of distribution that change, and that is what dictates marketing. The way ad networks evolve dictates the type of marketing you do. When TV was the dominant ad network, there was a certain type of ad format used. Facebook also has a certain type of ad format that works best as do all other ad networks.

Facebook grew popular out of the demise of MySpace, LiveJournal and Friendster. Facebook made a really smart move

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to open it up for use by college students only, because they were considered the early adopters. They understood that people first go to college, then they go on into corporate America, and would spread their network in this way. If you want to become the utility of the marketplace, you have to focus on people who are going to be utility users within 5 to 10 years as you grow. It's difficult to get people that are using a different platform to switch to a new one. TikTok and Snapchat do the same. They went after a super young audience that weren't heavy users of Facebook, and their audience has grown over the last 10 years. They became the early adopting users that are now much older and have grown with these platforms. And new young users are being introduced all the time so their user base is growing really large.

Facebook's ability to help people to connect in a social way, together with its intuitive interface made it a perfect social layer. People came to connect and interact. It grew from a young user base to a completely varied user base. People scroll up and down, so your ads have to appear a certain way on Facebook to get someone to stop and look. Usually timelines go left to right for humans, but the vertical feed of Facebook, goes with the intuitive scrolling that we do on web pages. Facebook has made it easy for somebody to stop on their feed and to go to someone's timeline and read what they have to say, to look at their pictures or video. Then there are the other contextual elements such as comments, likes, dislikes, etc, which makes it interactive and generates engagement. That is how Facebook operates.

Facebook adverts are mostly business to consumer (B2C). B2C is way bigger in terms of volume, but B2B has a lot more money because businesses will spend a lot more money than an average consumer. An average B2B deal might be a $1,000, whereas an average B2C deal would be less than $100. Facebook is actually

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good for both of these, because business owners also spend a lot of time on Facebook as consumers, so there are B2B deals happening in an indirect way.

We also find that B2B advertising is different internationally. In the English speaking market, B2B advertising works on Facebook. But in the Swedish market Robert reports from his experience, B2B deals on Facebook have been almost non-existent. People go to Facebook for non-business activities and they're not in a business mentality or way of thinking. This is his experience of the Swedish market. Of course, that applies to a certain extent in the English speaking market as well. But possibly due to the larger size of the audience, coupled with the fact that Facebook is pushing groups so heavily, and group owners are incentivised to build great communities by putting out good content, B2B types do show up in Facebook. We also see people going on Facebook with a different mentality now than they did five years ago. Five years ago, it was less in a B2B mindset, whereas these days, people do show up on Facebook in a B2B mindset. They are there to learn something that can help their business, or to try to get a client or post content such as showing some results of one of their campaigns. If we look at the numbers again, IBM has 1 million likes on Facebook and 8 million on LinkedIn. Netflix has 65 million on Facebook, and 5 million on LinkedIn. This again illustrates the point that people go to these platforms in a different mentality or in a different headspace. Sometimes they're there as a consumer, they're there to buy stuff or look at stuff or just hang out. And sometimes they are in a more professional B2B mindset.

Facebook has employees whose sole aim is to figure out how to get you more addicted to Facebook. They'll check your interaction with various posts such as text posts, video posts, length of the

post, colors and everything in-between, in order to discover what you like best, and what you hate, so that you keep checking again and again. You'll see people hanging out who unconsciously pick up their phone and check Facebook to get their pre-programmed (by Facebook) dopamine hits. People are on Facebook to socialize and to check out what other people are doing, so you can look at Facebook (and Instagram etc) as like living magazines. The best type of offer that works really well in these environments, and that we run in Automatic Clients, is a tri-page sales page which has all the elements of the Facebook environment. So, we have the videos, we have the text and we have the small version of the summary. When you have all these elements – video, text, and summary on the page, it reflects the medium that the advert comes from, so we have very high conversion rates. These are based on an old strategy of the former direct response marketing days, whereby marketers would create a sales letter that looks like a magazine, known as a Megalog. They would mail this out and people would read it as if it was a magazine. But really, it's just a very clever sales pitch disguised as a magazine and readers would buy products from it.

Facebook is built upon this massive interaction of people, and as we talked about earlier, the main thing to consider when advertising on any ad network, is the level of intent. Why is the user there? What are they intending to do? The intent dictates the outcome or where that person is going. For example, if you go to a restaurant, your intent is to eat. That is a predictable outcome. When you look at the intent of users on Facebook, their intent is to discover something new. Hence the feed. When Facebook introduced the feed (which they copied from Twitter), the average time on Facebook went up to two hours a day. People could now go back to see if there's something new. There is always this

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mentality of discovering or missing out on something new. People just explore all the time. When offers pop up, it not only has to be something new, but must also be based on all the content that they can see in their feed. You have to work out how to move users from Facebook into your own environment where you can sell to them. It goes back to attention isolation. Attention, isolation is so important.

One final remark about Facebook is that it plays its videos on mute. A very high proportion of people watch videos on mute (more than 80%), and if you don't have subtitles on your videos, it's impossible to actually get the context of the video. If you are using video in your advert, you are missing out on capturing an even bigger audience and sales by not including subtitles. You have to pay attention to these little details, not just on Facebook, but on all platforms.

Instagram

Instagram was originally created as a locational check in app, but changed to become a platform for sharing and tagging images after it became too much like FourSquare. Being image based, the cognitive load of Instagram is relatively low, compared to the very high load of Facebook. You might notice when you look at Facebook every day, you feel more tired. If you don't use it for a few days you have a lot more energy mentally, because Facebook requires a lot of cognitive energy in order to process so much information. You're getting hit with so much information in your feed, whereas Instagram is a lot lighter. Instagram is visual, it's images and short videos. Like Facebook, it's also a discovery network, so people go there to see something new in the form of images. And it's a social sharing network where people share their images. Users follow different hashtags and different

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influencers. We are in an era of influencers and this is particularly so for Instagram. There are influencers with huge numbers of followers - 1 million, 10 million, 50 million followers, and they set the tone of the various sub niches in Instagram. There are fitness influencers, fashion influencers, music influencers, travel influencers, and they'll post pictures accordingly. Their followers go there to look at their image posts. Some will comment but people don't tend to read the comments on Instagram, because it's a very quick network. The attention span of the average user is small – they are there to view an image then move on to the next. The attention span can be measured as literally just a few seconds.

Instagram also has a feed, which places you in that scroll-down environment. We find here that image ads work best because images are Instagram's environment. Whatever network you're operating in, you should operate under the same media. As far as targeting goes, Instagram gets all its targeting from Facebook, so all the data points on Facebook are passed over to Instagram.

Robert offers an alternative observation around the use of image ads on Instagram. There are certain people that he follows on Instagram who will write very long captions on their pictures, and he found myself reading them a lot, because in a sea of images a paragraph of text will stand out. It's so different from what everybody else is doing on the platform. So this may be worth exploring for advertisers. There are also different types of media on Instagram. You have the news feed, but you also have stories. A lot of people absolutely love Instagram stories as it's so entertaining to get a more behind-the-scenes look. Story ads are definitely worth testing out, and this is where the contextual creative becomes really important. In our business, we never got the math to work out for our story ads, even though we didn't go

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all in on it and really give it the fair crack that it deserved, as far as split testing different types of creatives was concerned. But people do spend a lot of time on stories, so there's definitely attention there. If you can make those work, that's going to be very lucrative. The contextual swipe up is the way that you go to links on Story, so pay attention to those things. We go to Instagram for motivation and entertainment. If you can satisfy that in your advertising, by providing value rather than just advertising, that would be very powerful.

LinkedIn

LinkedIn has invested pretty heavily in trying to make it more of a social media platform, where people actually spend more time there. They have also made the mobile app. As far as functionality goes, it is very similar to Facebook, but is skewed to the B2B world. However, depending on your business or niche, the content can be very similar. As far as advertising goes, it is more expensive because it is primarily a B2B platform. It's not the first place that an advertiser will go, in fact it's probably the last place that they'll go to advertise, which makes it an interesting opportunity to look into further. But the pricing benchmarks on LinkedIn are incredibly high compared to Facebook and Instagram.

Whereas Facebook and MySpace were there to cater to the masses, LinkedIn was born to cater to professionals. It was an aggregate of a directory of people who can interact for jobs, with posts, with comments and with companies. And that's where the value of LinkedIn lies - when somebody is on LinkedIn, their mentally is in work mode and business success. Their intent on LinkedIn is to be professional and to network. Leads on LinkedIn are a lot more valuable because people using LinkedIn are

professionals who will have a high income and will spend more money. But as the cost of ads on LinkedIn are way more expensive, it's all relative. If you can make more money, paying more for ads doesn't matter. People also use LinkedIn as a showcase for their resumes. They can also get endorsements from others in their network and if they get a lot, recruiters pay attention. So it is a really powerful tool to use now. LinkedIn groups are arguably a lot more powerful than Facebook groups in terms of quality. The size of the audience doesn't really matter, it's more the depth of the audience, how responsive they are and how much time they spend with you. We know people with Facebook groups who have 100,000 people and they have minimal interaction within the group. Then there are some people with 10,000 people in their group and they'll make a million dollars out of that group. Numbers are not everything – it is the responsiveness that really matters, and LinkedIn has a really good responsiveness with its users, particularly considering that they're not there specifically to socialize, they're there to further their professional life.

Google

Google is the original behemoth. Before them, Yahoo was one of the first search engines, then more followed, such as Excite, Lycos and Dogpile. But when Google came on to the scene, they worked out a superior pattern for searches and ranking. Instead of just looking at the metadata of pages to work out relevant information they looked at the interlinking. Likewise, Facebook uses this interlinking concept to create a social graph, so if somebody likes Cheetos dish chips then their friends might like Cheetos too. If this person likes Cheetos and basketball, then their friends who like basketball, might also like Cheetos. And this is how their algorithms work. Google applied this to web

pages whereby the more web pages there were that linked to a certain page with a certain keyword tag, the higher it'll rank. Using this algorithm, it created the best search engine of the time. Right now, we are living in what's called a closed-off ecosystem, where a lot of the stuff that takes place on Facebook, on LinkedIn, and on Instagram is not indexed on Google because they are all closed off from Google. At the time, Google Search was phenomenal, but now the results are a little strange, because you'll still have blogger articles from 10 or 15 years ago ranking high. This is because people aren't creating that type of media anymore like they used to, because a lot of the creation is going on within these other media ecosystems.

Google has two types of ads - Google Search ads and Google Display ads, and there's a different level of intent associated with them. When someone goes to Google they'll search, for example, for "how to lose weight". There's an intent behind that search, so when ads show up at the top of the search results they're going to be expensive as the probability that a click will lead to a sale is quite high, since their level of intent is high. They've already told us they are interested in losing weight, flat out.

Google Display Network shows Display ads, or banner ads on websites such as Forbes for example. They do not carry the same level of intent because if you visit Forbes and you see an advertisement for "how to start your own business" it does carry some relevance, but you did not come out and say "I want to start a business" before going to the Forbes site. So Cost Per Click and Conversion Rates are going to be lower on Display ads.

The big distinction here is that intent-based advertising on Google Search is quite different from more of an "interruption marketing" type of ad that you'll see in banner ads, or even Facebook, Instagram, and LinkedIn ads. All these "interruption

marketing" type of ads typically carry some relevance because you have been targeted based on some type of interest, but there was no direct showing of intent on your behalf which led to the display of the ad, the way that Google Search Ads would have. So just because Google Search Ads are typically more expensive doesn't mean they won't have a higher ROI, since you're more likely to convert a much higher percentage of clicks to a sale.

Google's algorithms are sophisticated and far reaching. Google owns Android and YouTube and various apps. A lot of people have Android and Chrome on their computer or phone, and these allow Google to track everything. If you go to a certain store, it'll track which store you are in. It knows you're in Footlocker, and that you're into certain sports shoes. It knows what gym you go to. It knows what the gym costs, and what the reviews are about that gym. It knows what other people who left reviews on that gym are into. If we both went to the same gym, Google already knows that Alen is into basketball, so it would assume that Robert might be into basketball too. And then it will start showing Robert ads for basketball stuff. Because Google is so big it costs a little more to work out and to test ads. If you go to an event like Ad Tech or Affiliate World, you'll meet hundreds of people who are self proclaimed experts at Facebook ads. But the truth is, it doesn't take much to become an expert, because Facebook does everything for you. On the flip side, you'll meet two Google experts, because Google is a lot more complex, and also a lot more expensive to dial in. So for example, on Facebook you can dial in a campaign with $500, but on Google you'll dial in with $5,000. Once you do dial in a Facebook or Instagram campaign, the campaign is going to die down within 2 weeks, and you'll have to recreate the same campaign again. However, run a successful Google campaign, you can run it for five years without

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touching it. We know people that have been running their campaigns for seven years, the same ad, the same targeting, same everything on Google. Their campaign is going to be used to make money and produce results for the long term.

Google Search page results are mainly textual. You have some images in the Google Image section or the Google Shop section of the display results, but text is dominant. Ads are also text because it's in the same format as the medium. You do have banner ads in the Google Display Network, but text ads typically rule Google, because when people look for information, they are either looking at it in the form of videos, which is where YouTube comes in, or they're reading text on Google Search results, where text ads are displayed. Arguably, most people like to read text when it comes to consuming information, because they can synthesize the information better. The ads have to be an extension of that intent, so if somebody is searching for "how to lose weight", you have to address that question in the ad, for example, "The three secrets to losing weight", or "How to lose weight fast". It's the same for ads on Google Display Network, you have to answer a question. When you're running ads on Google, you need to think about what question is being asked when somebody is looking for weight loss. What precise question are they entering into the search box. And you need to answer that question with your ad: "How to do 'this' or 'that'". Your ad needs to tell them that if they click on the ad, they are going to find the answer to their problem on the next page. That is the main driver of Google Search and Google Display. The reason we're referencing Facebook and Instagram here is because they are complete opposites. Google Search is used for searching when you know you want to find information, whereas Facebook and Instagram have an exploratory nature to them. People do not tend to go exploring on Google and clicking

around for no reason. They are searching for specific information or to solve a problem they are experiencing.

We talked before about how sometimes on Facebook, the advertisement itself can sometimes be a conversion mechanism. We also talked about the old newspapers and magazines where the ad had an order form at the bottom, so the actual ad was also the conversion mechanism. On Facebook and YouTube you can sell an idea, but on Google you just don't have the space to do that. Advertisements on Facebook, Instagram and YouTube could have videos and could have so much information that you're effectively almost sealing the deal in the ad itself. Whereas on Google, you're just selling the click to the main information or sales page. On Facebook and YouTube you've also got the comments section. That's why we teach our clients to create outstanding products, because if your products are really good and especially good for the price you sell them at, people will sell your product to other people in the comments section. A lot of our own ads have comments saying, "You've got to buy this", and "I just bought this and it is amazing", so with an active social graph, a lot of people are rebounding off of each other. The only way humans can determine the value of something is based on what the market will pay, and this applies to stocks, shoes, cars, and everything else. How do you determine whether some new bag Louis Vuitton comes out with is worth its thousand dollar price tag? Well, if people are buying it, that signals to everybody else that it must be worth $1,000. People would not buy it if they did not perceive it to be worth that amount. It's the same thing with real estate, a house in a given neighborhood is worth a certain amount because people are willing to pay to live there. Back to Facebook, and people who comment are echoing the value and doing the pre-sale for you. That's why on Facebook,

conversions can be as much as 10% to 25%. But there is a problem with Facebook, in that it is a time restricted network. People on Facebook want to look at one thing and consume another thing. A lot of people running webinars on Facebook will find that people are clicking and registering for the webinar, but that a high proportion of these do not show up to watch it. People don't tend to want to go from looking at something where they're consuming information, to then committing to a webinar. They are going from consuming 5-10 second consumption points, to being asked to attend a 2 hour webinar and often that's just asking too much. Whereas people will spend two hours researching and reading on Google. A friend of ours just bought a dog, and he was telling us how much time he spent on Google researching about dogs and reading various articles. Then he bought a lot of toys for his puppy because he saw ads on Facebook and Instagram for chew toys and other things, but he didn't really spend much time researching them. This is why Shopify stores tend to do better with Facebook and Instagram ads - these small micro consumptions easily tempt you to buy for example, a fancy watch that typically costs $300, for $20.

The reason why Google Search converts so well has a lot to do with the different stages of awareness. As we saw, Google Search ads are typically really expensive, because it's so good that a lot of people are using it. In Sweden Robert found the most expensive keywords were for ‘funeral homes’, because if you're googling a funeral home, unfortunately, you're ready to buy. Nobody's googling funeral homes unless somebody has died and a funeral is a big ticket sale for funeral companies. That's why they pay a lot of money for a click.

People don’t tend to even consider Google Display Network unless they are the sort of person who regularly creates offers,

such as in the weight loss market or dating market. People just kind of brush over it and never even consider it. For good reason: it is difficult to make it work. But it is one of the biggest ad networks on the internet, so do consider spending the time and the money to make that work for you, because if you make a campaign work on Google Display Network, you're talking about potentially running it for years without changing a single thing.

An interesting phenomenon is that the value of content on the internet is actually going down. Somebody we were speaking to recently told us how their content is 50% less valuable than it was three years ago in terms of the revenue it brings in. This is partially because more content is being created, but when these magazine sites like BuzzFeed complain about content creation and their declining visitor numbers, it's not that a new and better site has taken away people's attention, but rather, a new technology emerged like TikTok that is taking attention away from them, so they are unable to monetize those people. These sites have already figured out the model for writing articles that is working, so it's not about making the content any better, it's just that the numbers of visitors are going down. A lot of those sites rely on revenue by actually hosting Google Display ads on their sites, and having Google pay them a percentage of the revenue. Google Display clicks have been 30 to 35 cents for the past 15 years and we pay around six dollars on Facebook, for example, but it is all relative. The reason Google Display clicks are inexpensive is that there is so much volume, and due to the intent being lower than on Google Search people will need to buy more clicks to get a conversion, so the math only works out for the buyer of the ad if the price is right.

Disregarding ad price and supply and demand for a moment, it would be quite easy in theory, for most people who have a

product to sell to make Google Search ads work for them. This is because people's ability to make their advertising work is directly correlated to the level of intent that the prospect has on the platform where the ad is running. The level of intent is high on Google Search. Facebook, for example, is more difficult because it relies on interruption marketing. They're not searching for you or for solutions to problems, so it's a bit harder, which makes the prices a little less expensive generally, as it requires more skill to make it work. On Google Display the prices for ads are very low, because of the huge amounts of traffic and the fact that so few people can take somebody from a low level of awareness and a low level of intent to actually making the purchase. The level of intent of potential customers is directly correlated with how many advertisers can make it work on that platform, meaning that where there are a lot of people eager to spend their money, there are also more hungry sharks in the form of competition. The higher the intent, the higher the conversion rates, and this attracts more competition. And for that reason, the supply would be so high that the prices would reflect that. Similarly, if more people were skilled at making Google Display ads work for them, the price would go up as well, but there are not so the prices remain low.

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YouTube

YouTube started as a video sharing site and has become a massive network. YouTube became popular with the decline of Blogger. Blogger allowed people to embed videos on their websites but when people found they could embed YouTube videos on their blogs, with the now familiar red YouTube logo, this new media platform became very popular. Unfortunately for YouTube, the cost to run the bandwidth was so ridiculous, it was losing a lot of money just on bandwidth alone. That is when

Google acquired YouTube for the sum of $1.65 billion, and then it just took off. In addition, apart from Google AdSense, YouTube is the only social media platform that pays their creators. The Google Display Network pays websites about 70 cents on the dollar to have an ad on their website, so Google takes 30 cents. The same split happens on YouTube, so they are encouraging people to create content. And there is a lot of really good content being created.

YouTube has massive reach, so you can target different people using Google Targeting, based on affinities, keywords, and all sorts criteria. If somebody searches for something on Google for weight loss, for example, you can target that same person when they are on YouTube watching videos about cars, which is really powerful. One type of ad that works effectively on YouTube is to use a whole sales video as an ad, which then goes to a page that has a VSL for conversion. This works because you have a natural extension of consumption, whereby they're not leaving their environment. They are consuming your sales pitch within YouTube and then they move out of that environment to your environment when they're ready to buy. On the desktop, your ad is also fighting all the other YouTube recommendations. On the right-hand side, there are other videos and comments that you have to do battle with to get the person out of YouTube and over into your environment.

Secondary Ad Networks

Native Ads

Native ads evolved to take advantage of these viral sites that took off at the end of the social boom of the internet, when the media platforms like Netflix and YouTube started to dominate. At the

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time, Facebook was encouraging a lot of sharing of different news items because they wanted to get into the content game, but they didn't want to create content themselves. So they got other people to create the content and then share it on their platform. Viral sites such as ViralNova sprung up which would host articles that people shared sometimes up to tens of thousands of times. These sites would create crazy articles with clickbait headlines, but the problem with that was that you couldn't do any targeting. All these people were coming from Facebook and sharing, but you couldn't take the targeting from Facebook off the Facebook platform in order to target, because they didn't have any data on the users visiting their sites. These sites have now become much more sophisticated, with RevContent and Taboola being the biggest, and they act like ad networks that run image ads. With native ads, you have to curate the clicks. You don't have any targeting, but you do have a conversion pixel. So if somebody clicks on your ad on the site and then they buy, the pixel captures their data on the order confirmation page. The only way to curate the targeting is in categories such as 'men',' women', 'older people' or whatever part of the viral site typically carries articles that will attract certain demographics. In Viralnova, there are different categories and based on the ad you put on there, it will filter out more people. So you use the ad as the actual targeting in itself. But here's a trick to native ads... native ads are extremely powerful, but if you go to Taboola for example, and you talk to their reps, the first thing they'll say is that you've got to spend $20,000 to test the entire network. This is because they want you to run ads all across the network, in order to work out where your ad works. They want you to put the conversion pixel after the checkout. The way it works in this case is that you pay when somebody clicks on your banner, goes to your VSL or sales page and then goes to your checkout page and finally buys. Only then

does the pixel fire. There are four or five steps before that pixel fires off, so if you have 1000 people to start with, and a drop off at every step the numbers continue to go down until you have around 30-50 people or less at the last step. You have to generate tens of thousands of clicks just to test, and when we started doing native ads, we could see that this was not going to work for us. So we worked out that if we moved the conversion pixel up into the VSL we would get more metrics and data points. People would click on the ad which would take them to a page containing an advertorial that acted as a bridge page to warm them up. If they go from a banner straight to a sales page, they just bounce. So they would arrive at another article that looks like another viral site, then on to the VSL. With the pixel on the VSL we could test the whole network for $1000. But we weren't buying conversions, we were buying eyeballs. This was the data we were interested in. With the pixel on the VSL we knew where it was working, and once we knew where it was working, we could just cut out those ad placements where it wasn't working. We'd have a first pass on this then move on to a second pass in order to fine tune. This alternative technique creates a cascading pixel, where you look at a sub pixel of a pixel to see where it converts. Alen did the same thing with cost per view (CPV) ads back in 2007 and it worked very well. CPV ads are the same, except there were toolbars that were installed on people's computers that allow pop ups.

Native ads are very difficult to make work - you have to be a ninja with tracking in order to make them work. What's interesting about these, and it's similar to the Google Display network, is that you see the same companies running ads on them, because most people can't make it work. The ones that do make it work make a lot of money. There are two types of advertisers on these networks - the brand advertisers and the direct response

advertisers. On the Google Display network and native ads and, in fact, all these other secondary ad networks, there were direct response advertisers called 'free trial' advertisers running ads. Free trial advertisers would put out an offer for a supplement that costs $100, for example, but they'd let you try it for free if you just pay shipping and handling. However, they had sneaky terms in there whereby they would charge you $100 a month and send you a bottle but you couldn't cancel for X amount of months. The economics on those offers are extremely good because the conversions were very high, and the ad cost was very low. Plus, they were sitting on somebody's credit card, so the volumes made it up, even after people inevitably cancelled. A large portion of direct response ads on Google Display, Native ads and a lot of these other secondary networks were based on this model. This model no longer works because Visa and MasterCard were kicking these advertisers off. Subsequently, legitimate weight loss offers were not accepted because they were thought of being like those bad offers, and the ad networks didn't want them. Now it's easier, and a lot of advertisers you see now are running branded offers, and you'll see offers on Google Display in sub niches. For example, '"weight loss for people over 50", or "skincare for women aged 30 to 40". It might seem a little strange, but it works really well because you can target really effectively on Google Display. If you see somebody running on Native, pay close attention because those are super optimized offers. There is something there that's making it work, because native is the hardest thing to do across the board. But then once you do make it work, you will do really well. Yahoo Gemini is a really powerful one, and possibly one of the best that has some decent targeting.

Native ads are also the last resort for many industries that aren't allowed to run ads on Facebook and Google. Industries such as

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gambling fall into this category. It's also important to realise that ad networks have different policies in different countries. Our friends in Thailand see gambling ads on Facebook all the time. The user experience of a country is dictated by the culture, and Google has different terms and policies for Google in South America versus Google in North America. In Sweden, 90% of ads on TV are for online casinos, because that is the platform that they can make the math work out. They're not allowed to run ads on Facebook. Pharmaceutical companies are not allowed to run ads on TV in Sweden, whereas in Poland, 90% of the ads are pharmaceutical ads. Again, it's because that is where they're allowed to run. It's very clear when you go to different countries in Europe and turn on the TV what their advertising policies are because the ads are typically completely dominated by one or two industries.

Native is typically an area where advertisers have either maxed out economics on all the other networks, or they're not allowed to run on other networks. But the truth is, between Google, YouTube, Instagram and Facebook, there's more traffic there than you'll ever need in your life. The biggest problem isn't going to be maxing out on those four networks, it's going to be processing all those payments. Because once you hit a million a month, many banks don't get it and processing all those payments can become riddled with difficulties.

Next, we'll take a really brief look at Pinterest and Twitter, the two oddballs in the list.

Pinterest and Twitter

Pinterest was set up as a place to share and to 'pin' photos, and is mainly frequented by women. We personally use it when looking for inspiration. If looking for cars or for trips away we'll go on

Pinterest and pin images down to have a record, which can be very useful.

Twitter is just a giant feed of comments and shares that is somehow still around. We don't really advertise much on either of these networks, but Pinterest is really good if you're running weight loss offers and skincare offers. Personally, we don't know anybody that has ever run any traffic on Twitter other than just branded advertisers.

Email Ad Networks

Email ad networks are a good source of traffic. An email ad network is an aggregate of different companies that have email traffic that they want to sell. You can access this traffic via email brokers such as Email Abilities, and Josh Whelan agency. The survival space is a really big provider, plus there are aggregator sites like Newsmax that still build email lists, however sites like Newsmax are typically conservative, so these email ad networks tend to work better with conservative offers. Agora is a big user of email ad networks and they buy a lot of email traffic.

Newsmax and other aggregators collect email addresses. In addition, advertisers that run Google ads and Facebook ads will often have excess email capacity which they will sell to you, because if they can make extra money selling email drops, they can add $30,000 a month to their bottom line. We know people in the survival space who sell their list drops for $10,000 and they will generate a huge number of sales for you if you know how their market works. They will send newsletters to their list with news updates and articles, and the newsletter will carry ads for clicks that you purchase. Or you can buy drops (more on this later). The way it works is an advertiser will go to the aggregator site which shows a list of buyers and sellers with their ratings,

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and the advertiser will put a buy order in. You can buy ads based on CPM (cost per thousand), whereby the company will send a thousand emails out. If you buy 10,000 emails, that would be 10 CPM. You can buy clicks or email opens and you have the option to use your own creatives.

Email ad networks and solo ads provide the same service, the difference is that solo providers operate on their own. However, there are some illegitimate solo providers operating, whereby if you wanted to buy say, 10,000 clicks, they'll write some emails with the subject line saying something like, “Hey”, and then the body copy will say, “click here”, so that you'll get your 10,000 clicks but it would be blind and unfiltered traffic. The unscrupulous solo provider would say that you got your 10,000 clicks, and you would have already paid for the service. The good thing about email ad networks like Email Abilities and Josh Whelan agency, is that they'll actually make up for any under-performance, so if you buy an email drop for say $3,000 and it doesn't perform, they'll send you two or three more drops for free to get your numbers up. They are really good like that. Companies such as eDataSource.com provide data by aggregating email performance from around 42 different ISPs worldwide, so you can see who's dropping emails where and where they're coming from which is really useful for tracking. To get maximum conversions, you need to go to trusted people or companies with good reviews. The market is mostly conservative and the older demographic.

Solo Ads

Solo ads can work really well for lower priced products. However, when providers send emails out, you have the same type of people opening and clicking the emails every day. They may have

a database of 100,000 people and they have say 20,000 people that are responsive. The other 80,000 are just dead weight. Those 20,000 people just buy products over and over, so you get a lot of jaded leads which can lead to higher refund rates. In our experience, these are the kind of people that complain a lot and are not really worth having as customers. Sometimes the list can stop performing so providers will just buy cheap pop up clicks. These pop up clicks are generated from pop up advertising networks and are not good quality. They can get hundreds of clicks for just a few dollars. So out of 1000 clicks, they'll send you 300 legitimate clicks and 700 pop up clicks with your link. On your tracker it looks legitimate - they look like real clicks, but you find that they're not opting in, and they're not buying. When Alen ran his ad network he caught a lot of solo ad providers selling pop up clicks, and we just wouldn't pay them for that. Alen sold his ad network but believes TrafficForMe.com provides good traffic. The typical market is business opportunities, survival and conservative - right wing ads can work really well.

Joint Ventures

Alen has done quite a lot of sales in JVs over the years and it's one of his favorite ways to get traffic because you're leveraging other people's customers. You just find people who have an existing business and who have leads and you leverage their customers to become yours. Someone owning a Shopify site that sells skincare products will run ads on Facebook or Google and they'll generate a database of hundreds of thousands of customers. Let's say we have a weight loss offer, we would approach the Shopify owner and offer them a 50% to 100% commission if they promote our product. The smart ones will want to see your product and make sure it's a good fit for their list. The shady ones will more than likely say yes without looking

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at your product. You want to pay attention to the ones that are vetting your product because that means that they're also vetting other people's products, and taking care of their customers, which means it'll be a better quality lead. You use an affiliate software tool like HasOffers or CAKE to track the performance of the promo. MyAffiliates is also good. You also need to establish the payout terms, which might be 30 days out, minus refunds, or seven days out, and you take the refunds. It could be 50% in a week, and 50% after refunds. The way we do it is to offer a JV partner 50% to promote our offer. If it does well, we will go back to them two weeks later to promote again but offer 75%. Two weeks later, we'll go to them again and offer 100% to promote again. The outcome is that you convert those buyers into high ticket sales and you get to keep 100% of the high ticket sales. Very few JVs will ever ask you about back end sales, and if they do ask for a back end cut, you just tell them that you've already given a generous amount on the front end.

JVs are everywhere. Anybody that's doing business online is a potential joint venture partner. So literally any offer in any vertical can be a JV partner. We had a webinar that we were running for three or four years that did millions of dollars by leveraging other people's customers. We hired someone full time to fill out a spreadsheet where he would follow certain rules to access suitability of potential JVs. He would perform keyword searches on Google, then he would find a site selling other products and then check SimilarWeb to see how much traffic that site was getting. If the site was getting more than 10,000 clicks a month, we would contact the site owner by sending emails and video. That's all he did all day, and it gave us a lot of great relationships. He did the same thing on Facebook, finding people in groups, he found people on Clickbank and JVzoo and we built

up lots of JV deals. We also worked with a few JV brokers. These brokers already have established relationships so they take 10% to 20%. JV is a great way to generate sales at basically zero risk as it doesn't require any money. We have about 300 JV partners right now that we've known over the years, so whenever we want to make an offer, and we don't want to deal with Facebook, we can just go to them and it's done. The only problem with building your business around JV partners is that your business is only as good as their ability to send you sales. On the flip side there is zero risk, and the really good thing about JVs is that they are doing the work of actually curating buyers, but none of them are really good at selling high ticket items. So you can go to one of the thousands of Shopify stores right now and do deals with them. They'll promote your stuff, and you can extract a lot of money selling high ticket items without paying anything on it.

CPA (Cost Per Action) Networks

There are two parties on CPA networks - the advertiser and the publisher. The advertiser is the person with the product, and the publisher is the person that sends the traffic. When a product is put on the network, the publishers will test it by sending a few clicks, and if it works and they start getting sales, they'll scale up. You need to track activity in the platform, so you connect your tracker, such as CAKE Marketing or HasOffers, to the publisher's tracker, so you can track their clicks in your own tracker. If you have 10 publishers promoting, each publisher has a sub ID so you can track the performance of each one.

Amazon Commission Junction was one of the first CPA networks whereby they kept 10% of every sale generated. A lot of lead generation companies, such as insurance companies started using them, and then direct response marketers started to

implement this model into their businesses. The free trial advertisers also started using them heavily. There used to be thousands of CPA networks, but now there's only dozens. A lot of them went out of business, because they all operate on 10% cash flow margins. ClickBooth, Ads4Dough and Convert2Media are the main ones nowadays.

If you have a product such as a book that you want to sell, you would offer the CPA network say, $50 for a cost per action. That cost per action could be for a sale, in this example. They would put it in the network for $40, so their cut would be $10. The CPA network has a relationship with super affiliates and big publisher sites. ClickBooth is one of the biggest CPA Networks and has a relationship with a lot of publishers on the Google Display Network. When we ran our offers on CPA networks, we were selling a $7 product, and we were paying $40 or $50 for it. The more inverse negative you can go, the more you can make and you get a lot more volume. But we got a lot of fraud. Some publishers in third world countries (where $30 a day is a lot to them), would buy digitally generated gift cards, and then buy the product from their own link. They would do one offer across the networks, and they would make their $30 and they would get paid. However, we countered this by using software that could detect sub IDs based on the IP, which would detect if IPs were obviously buying different products, or when a sub ID is not generating upsells based on our standard metrics. We would notify the network of potential fraud and we wouldn't pay the publisher. We notified the network of the publishers that were doing really well for us, and we might up their pay-out. So we'd go from $50 to $70, and they would send us even more volume. CPA networks are really powerful if your offer is good and if all your metrics work out across the board. Your economics, your

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merchant accounts and your customer service need to be really strong. If it's all in place then you go to CPA networks for the finishing touch, and we've known people getting 10,000 sales a day on CPA networks. The people that typically work with CPA networks are professional media buying teams, where there will be ten people who do nothing but cloaking. A lot of these teams will cloak on Facebook, and they'll master Google. They'll know native ads inside out. The only thing they can't do is make offers. They don't want to deal with creating the offer, they don't want to deal with customer service or merchant accounts or any of it. They just want to pump traffic and that's all they do because that's what they are best at.

On these ad networks there are a lot of affiliates promoting offers. Sometimes there may be 500 to 1,000 all promoting the same product, and a lot of these affiliates want to run the offer on Facebook. But Facebook doesn't like it when 500 people are running the same offer, because it overloads the targeting to the same people, creates saturation and gives a bad experience to those users. A lot of these affiliates will cloak their links which means Facebook can't see what the product that they are promoting is, but the end user can. They try to sneak the product onto the ad network by hiding it, so the network doesn't detect what the product is, because when you cloak, you can push a lot of volume at low cost and avoid getting banned from Facebook.

ClickBank and DigiStore24 are all inclusive CPA networks (or affiliate networks), whereby they'll do payment processing and affiliate management. ClickBank is really good if you're selling digital products, and your metrics are good. Once you get in the top 10 you can net $20,000 to $100,000 a day passive. It's a really good place to be if you're strong in offers.

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One rule of thumb on all these networks is to control your own traffic, because you will have fewer problems in the back end, meaning better quality leads. The more you use other people's email lists, or JVs, or affiliates, the more problems tend to occur because on CPA networks, you not only have fraud, but you'll also have people making claims against you. If, for example, you're buying solo ads and you're not using your own creative, the provider might be making false claims on your behalf, like, "Lose 10 pounds in a week", which can potentially get you in trouble. When you can control your own traffic, it's way better because you can scale up and down, and make it more predictable. You can deal with your own problems, and it's much better than relying on those JVs, CPA networks and solo ads. All these secondary ad networks are just like icing on a cake. A lot of money can be made, but it should be done after you've worked out how to advertise successfully on the primary ad networks.

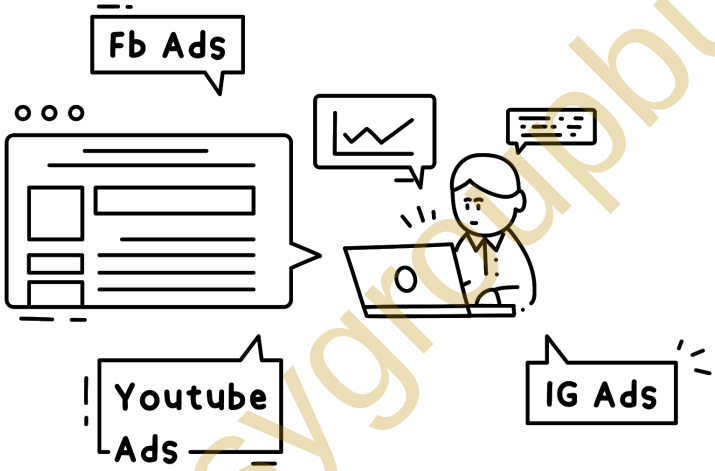
Ad Network Preferences

Let's briefly recap on all the ad networks we've talked about here. Facebook and Instagram are great because the targeting is easy and they are cheap - you can start with a budget of $20 a day. We suggest making LinkedIn a later priority because it's more expensive and harder to make work since its users are in a corporate environment who are naturally more sceptical. Google Search is great, but it's very expensive. If you're in the United States running Google Search for mass, common keywords like 'dog training' or 'weight loss', they are super expensive. Plus it is unforgiving because as soon as somebody clicks on that ad you pay for it. So it can really burn through your budget. Google Display is great, but you'll be spending thousands of dollars in testing. On YouTube, it's $100 a day to start testing. If you're

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running skincare or weight loss or anything for women, Pinterest is good. We don't know much about Twitter because we don't know anybody running traffic on Twitter. Email ad networks and Solo ads can be really good, just be careful about people sending you fake clicks. And with solo ads, a lot of them will want you to prepay. Don't prepay, try to pay 50% upfront and 50% on delivery. JVs are a really great way to get free traffic. If you're going to do JVs, go outside of the traditional JV circle by finding Shopify stores or websites that are generating sales, and that are not bombarding their customers all the time, so the leads are as close to virgin leads as possible. Finally, CPA networks are good as you can get a lot of volume, but you can also get problems with merchant accounts and you may have to deal with fraud.

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Chapter 6

Creating Ads

Persuasion Fundamentals

As Blair Warren explained in his book, there are three things you need to understand about persuasion. They are, in sequence:

1. People resist unwelcomed attempts to persuade them.
2. We cannot resist what we cannot detect.

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3. People might believe what you say, but they **never** doubt what they conclude.

Understanding these three things is going to help you create advertisements.

Have you ever been in a shopping mall, or a touristy place where sales people are lurking everywhere? You see them approaching you in the corner of your eye. What do you do? What do we all do? We start thinking of excuses. We start thinking of how to get rid of this person as quickly and painlessly as possible. This is Blair Warren's first principle of persuasion playing out. *We resist unwelcomed attempts to persuade us.*

Now imagine the sales person understood that we did not want to be approached, but they still need to sell stuff. How could they have more success? They would have to be able to start a conversation without the prospect knowing what their agenda was. Not only that, their prospect would ideally be willingly entering into the conversation. The prospect would come to them. One time Robert was in Istanbul, Turkey. As he was walking from the hotel to go out to eat with his family, a short man with a little shoe shining toolbox walked past him and dropped one of his brushes just before they crossed paths, without noticing. Of course, Robert picked it up and ran after the guy to give it back. He offered to shine Robert's shoes, but Robert declined as he didn't have the time. Robert didn't think anything of it. The next day, he was again on his way from the hotel to go out to eat with his family. And again, a man, a different man, with a shoe shining box crossed paths with him, and guess what? He dropped his brush, just before they crossed paths. Sneaky. Robert gave the brush back and chuckled as he put the pieces together in his head. These guys understood that "we resist unwelcomed attempts to persuade us". We're willing to bet these guys are

crushing it compared to your average shoe shiner on the streets of Istanbul. This was also a beautiful display of principle number two: *we cannot resist what we cannot detect.*

Understand these 2 principles and put them to work, you'll see a big boost in results. Now what about the 3rd principle?

When Robert first got into the world of running a business online, he was being introduced to it by someone doing a product launch. It was a week-long launch and the course creator revealed the price the day before the doors were due to open (which is actually a bit unusual). The price was $2000, which at the time Robert thought was just too much money for him to spend, even though he really wanted to join this course. As soon as Robert found out about the price, his mindset switched and became resistant, and his knee-jerk reaction was that no, he would not be joining this program. It was just too much money for him in 2012. And then, he proceeded to spend the next 24 hours convincing himself that he needed to do this course at any price. He remembers walking up the hill from where he was living asking himself the question, "What if you don't join? What's going to happen if you don't join?" And he envisioned how that scenario would look. He painted an image in his head of what his life would look like 5 years later if he DID NOT join, and just continued on the same path he was on. He didn't like that image. Then he painted a picture of what his life COULD look like if he bit the bullet, spent the $2,000, did everything the guy said, and went all in. The image he saw there was not just better, it had everything he ever dreamed of. $2,000 was a small price to pay to potentially achieve that life. Robert was experiencing principle number three: *people might believe what you say, but they never doubt what they conclude*. The course creator did his job, he did the launch, told Robert how awesome his life could be, showed

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proof, but Robert was still at a hard No when the price dropped. The thing that convinced him was not what the guy said, but rather what Robert concluded on his own, which was that there was a chance he could build this amazing life that he wanted, and that's when he went from a hard NO to a YES. This is incredibly powerful, because you can say things as much as you want, but it's never going to compare to when somebody else convinces themselves.

Another good example is an observation Robert had with his firstborn daughter. When they watch Youtube cartoon videos together and ads come on she typically starts huffing and puffing in a split second. She doesn't want to watch the ads. However there's one company whose ads are disguised as content, by actually being cartoons similar to the videos she is trying to watch. Guess what: she doesn't realize it's an ad and happily watches those. Obviously, they can't monetize her but the concept is important: if you can wrap your selling attempts in value you're more likely to get people to consume your message, thereby increasing the chances of a sale taking place.

The Disruptive Idea In The Marketplace

Let's look at disruptive ideas and how they work in advertising. Disruptive companies with disruptive ideas disrupt a common way of doing things in the marketplace. Tesla was disruptive because they entered the scene with electric cars positioned amongst all the gasoline powered cars. Apple was disruptive because when everybody had regular phones, Apple came out with the iPhone – a phone with a computer. The companies were not only disrupting the status quo of how things had been done, but they were also disrupting the marketplace by focusing all the

attention on themselves. This is important because you want to get as much attention as possible, because attention is at a premium. Attention is so valuable that even YouTube is paying people a lot of money to create content to get more attention. The way we come up with disruptive ideas to help our clients is to uncover what they're really trying to do. In the B2B market, for example, if you're helping somebody acquire agency clients, the only way to come up with a disruptive idea is to work out what business they are really in. In our Accelerator program, we have someone we work with who helps gym owners get clients. We were helping him to develop a disruptive idea. We questioned what his business was really about… was it really to get clients for gym owners? What business are gym owners really in? After picking it apart, we discovered that the real business gym owners are in is the business of recurring revenue. So all of his marketing and ads started focusing on things to achieve recurring revenue. It's the same thing with the weight loss market. What are they really trying to accomplish – is it really to lose weight, or is it to feel better mentally, to become healthier, or to become more accepted within society? Once you work out what business you are really in, you then need to find a different approach to achieving that. Disruption means you're doing things differently from everyone else. If they're all going left, you go right. Disruption provides a shortcut to getting attention. To illustrate that point, here's an example from Robert…

"When I went to Penn State University, we had a football stadium with a 100,000 person capacity, and we had 'whiteout' games where everybody would wear white. But there would always be one person wearing red or pink or something, who would stand out and get attention. That's the effect you want to have. You just

can’t take your eyes off it. It's easy to get attention once you use disruptive ideas.”

On ad platforms such as Facebook or YouTube, people are scrolling up or down, or watching videos. Your ad therefore, needs to disrupt them enough for them to stop and find value in there and consume your ad, rather than finding higher value in other content. A lot of people think that when they're running ads, they're competing against other people running ads. You're not - that's not really the competition. What you're really competing against is all the other content. If you're running ads on YouTube, you're really competing with millions of videos containing content that is more interesting than your ad. Essentially, you're competing against the ad ecosystem itself. And that's why disruptive ideas are really important because you’ve got to get people's attention by serving up more value than anything else around.

Disruptive ideas also help to convert people, and this also draws upon the principle that people might believe what you say, but they never doubt what they conclude. For example, typically most people run their agencies by doing cold calls or collecting leads, then getting on the phone with them, and then having a meeting and talking about their needs. Then they put a proposal together and send that over and with the hope of closing a deal. This is where Robert’s way of getting clients completely disrupts the norm: “what I did was to create a low ticket offer and sell it through my website. When I launched the 2 Hour Agency, this disruptive idea helped a lot, because people would see that I was doing something in a completely different way. If I were able to make this work, it made people curious as to what else I knew, and this helps a lot with converting people.” Having the right offer and ad leads to a curiosity about what else you have to offer,

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and this helps people move through your backend offers. When people have that mentality, it helps them ascend into your $5,000, $10,000, $20,000, $50,000 and even $100,000 dollar programs in the backend.

Extrapolating Ads from Sales Copy

Many people make the mistake of creating their ads for their product separately from their product, and as such, the ads have little do with the product itself. Their ads are almost like an afterthought. What they try to do is to bolt the product onto the ads and then try to bolt the ad on to the marketplace. The most successful people we know build offers, products and ads within the marketplace. For example, there are networks like ExoPlayer, that specialize in adult traffic for adult websites, like Pornhub. We know people whose entire business model is creating adult offers, like male dating, in these ecosystems and they do really well. We also know people who just create ads specifically for the Facebook ecosystem or for the YouTube ecosystem, and they do really well too. But a lot of people create a product, then realize that they need to run ads to actually get the sales, so they try and often they fail. Then they think the answer lies in hiring a Facebook agency, so they'll pay an agency a four or five month retainer of $3,000 a month and it doesn't work. They'll blame it on the agency, and the agency will blame it on the product. But here's the thing, the secret that nobody wants to talk about in the entire industry is that the Facebook agencies are irrelevant. They'll get an offer that's really good and that is going to convert really well anyway, and they'll just run ads that are extrapolated from the offer. They will do really well and the agency gets all the credit. But it has nothing to do with them - it's because the offer was so good. The agency was just doing what it should be doing

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anyway, which was extrapolating from the offer, and this is what we are going to look at next.

Reverse Ad Creatives

Your ad doesn't just exist on its own for its own sake - it has a purpose. Its purpose is to get the person over to your landing page to consume the sales message and then to go to the checkout page, buy your product and ascend into the funnel. To do this we create the sales copy first, not the ads. Always the sales copy first. Then every thought, every idea, every little golden nugget that's on the sales page, we turn that into the ad. We'll create 20 to 30 ads based on a sales page. And this is really easy because all the sales copy is there, so all you do is literally take an image from the sales page, and put it in the ad. Then you take some sales copy from somewhere on the page and stick it into the ad. When someone clicks on the ad, the right person has been activated. Activating different people is important because out of 1000 people you'll have a spectrum of people that are activated by different things. You'll have 100 respond to one message in the sales copy, a hundred will respond to a different message, and so on. Certain messages and copy and images will resonate with, and activate a particular segment of the people who come to your page. The sales page is the extension of the ad which gives them all the other supporting information. So they can read the rest of the sales page or watch the video or webinar, which takes them to the sale. It's like when you go into a grocery store and they have a table with samples of sausage and cheese. If they were giving you samples of sausage, and then they try to sell you a cheese after, it doesn't make any sense. Whereas selling the whole sausage after trying the sample is the natural extension.

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We can't tell you how many times we've talked to people who complain that Facebook doesn't work, and then when we look at their ads we see that they have nothing to do with their sales page, or even the images they use. They'll use an image of an attractive young woman doing yoga when they're selling some type of business growth system. It's completely unrelated. Yes, you will get attention and yes you'll get clicks. You'll get people going to the page but it's the wrong people. They're not going to buy your stuff, and you really want people to buy your stuff. Ads have to have a purpose. The purpose is to get attention and get the click and get them over into your environment where you can sell. But they also need to be the right type of people who will buy your product, and you can use the ad as a filter. A lot of people use nonsense images. The best images to start with are the images of your product. The market we're in now is fairly mature – there's a lot of people trying to do this, so it's best to use your product in the image. If you're selling books, take a picture of your book and take some copy from your sales page and put it under the details there. Have the CTA say, "Click here to learn more", or "Download Now", and the right people will come over. The next best image after product images are lifestyle pictures or whatever you have on your sales page - use those in your ads. But always try to use only the assets from the sales page or sales video or webinar in the ad itself. If you're running on YouTube it's the same thing. The best ads on YouTube are actually mini VSLs. They're just like condensed versions of the sales video, because on YouTube now what we're seeing is that people don't want to move off of YouTube. People used to watch one minute ads and then click over to the sales page. Now people are putting up 12, 15 or 20 minute video ads because people will just watch the whole thing, so it pre-sells them and so kills two birds with one stone. They don't have to expend energy clicking and going over to the

sales page. Extrapolation is the formula to creating successful ads.

The ad itself serves to prequalify a person, and the sales page sells and closes them. That's it – there is no magic formula. The way to improve it is to test it, because you don't know whether the ad is fully optimised or not. Every market has a massive spectrum of people. About 10 years ago everybody was doing $37 eBooks, and then Alen came into the marketplace with a $500 product. Why? Because his hypothesis at the time was that out of a spectrum of a thousand people, there are 100 to 200 people who think that $37 eBooks are cheap, poor quality and that they don't work. They wanted something expensive because they perceived the product to be more valuable. He sold $500 products with $1,000 upsells and did way better than those selling $37 books because of this spectrum of people. This spectrum exists in every market. Now imagine that this spectrum aligned from Left to Right, You've got the different buyers spread from left to right, but then you also have depth. The depth dictates how much they're willing to spend later on. So on the left are the easy pickings where they might only spend $5, $10, $20, or $50 with you. On the right-hand side is where it gets a lot harder to acquire customers. These people need to see more copy, they need more convincing. These people might spend $50,000 with you but they will be harder to get. If you look at the left to right spread, it goes from easy sales at a $50 value, going harder and harder, until the difficulty reaches a $50,000 value. There is a big difference along that spectrum in terms of the value that you need to give, and the monetary value that customer is to you in return.

Ads of Value

It's getting increasingly difficult to do promotions or advertising without providing any sort of benefit for the prospect. As consumers, we just get more and more selective and our attention gets more and more expensive and difficult to acquire. So the way to acquire attention is to disguise ads and sales attempts by actually providing value. The earliest example that we can think of was in the early 2000s when BMW started doing short films by big name directors. Those were super cool. They stopped being like, “Here's a BMW, it's got 350 horsepower etc”, and instead they got Guy Ritchie (who wrote and directed Snatch) to create this short film, and use the BMW in the movie, and this is the direction that we're going to be going in the future. Your ads actually have to bring value, and if they don't, you're going to be losing money.

In 2008 Alen was running a lot of nutritional supplement ads, and started building his own news sites. If you were running on, say, New York Times, you needed to have your own website that looked similar to the New York Times’ site, where it was talking about your products. We had lots of articles about different health subjects. And of course, we had our articles about our supplements that we were selling, and the conversions went through the roof. They went from 2% to 10% using this method. When you are creating ads of value you need to understand the ecosystems you operate in, once again. For example, right now Facebook is pushing groups. All the people that are organizing the groups, what are they doing? They're basically holding people into little herds in a group, and they're selling to them. There are thousands of these groups run by all these little guru men and women, and their entire day consists of trying to get their

members' attention. So they post 'content', but really they're just trying to sell to them. And this happens all day every day on Facebook. So it's not just you running ads trying to sell them products. It's not just other people running ads, trying to sell them products. It's everybody else creating content who is trying to sell them products as well. It's the same thing on YouTube. You watch any fitness influencers. Boom - they have their own protein line. "Look at my protein, buy my protein, buy my pre workout shake, buy my T-shirts." So again, you're not only competing with the people who are running ads, you're also competing with people who are actually creating content where the ads are run. You're competing with so much more than before. A few years ago it was just you and maybe a few other companies running ads and it was easier in that respect, where everybody else is a consumer. Now it's a really gray area where there are lots of people trying to have a side hustle. But the interesting thing is that this is activating a lot more buyers, which is of course a benefit. Once the buyers are activated in a market, they will buy a lot of products. At the same time, the people being sold all these different things have limited budgets. For example, if I'm into fitness and I buy a jug of protein, I don't need to buy three more jugs of protein, because my need has been met. You have to be the first to meet a need, but at the same time you have to create ads of value to answer whatever question or problem someone has. The only way you can do that is through adding value, and standing out from all the noise. You cannot penetrate a market by force and you certainly can't do it by sitting within the noise.

This is why some content creators are really making a lot of money. A lot of them are not natural marketers or salespeople, but they do provide a lot of value first. They know how to create content so they focus on that first, they build up their audience

and then somebody tells them that they should launch merchandise, or do a supplement or something. And they just crush it because they've just been providing value for so long building up a huge audience.

Market Research

Creating ads of value is important but how do you actually do it? This is where market research comes in - you have to work out what the market wants. There are actually two markets in every market. There are the people that give you money, who are buyers, and there are the people that don't give you money, who are just spectators. Spectators are useless to you because they don't contribute to your AOV, to your sales cycle, or to your cash flow. They're just there, but you still pay for them and that's the problem. Whether you like it or not (and who would?), you're paying for spectators and you're paying for buyers. But you want buyers more than you want spectators and once you understand the spectrum, you can favor one part of the spectrum more than the other in terms of AOVs and sales, and you can make money. For every $1 you spend, $2 comes back - that is the equation you're aiming for. When you get this equation right, you spend even more money and get even more money out, and that's how you accumulate money.

Where do you go for market research? A good start is Amazon, Barnes and Noble, even drugs.com for health and supplements. We have someone in our program who's in the fitness market, and he wanted to sell supplements and he asked us where to do research. We told him to go on Amazon, find the top selling books on weight loss for women, and read all the reviews by Amazon verified purchases. He read hundreds of reviews, and he got an

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insane insight into why people buy, because they'll tell you in their reviews. If you think about it, somebody who goes on Amazon buys the book, actually reads it, puts it into practice then goes back to Amazon to leave this chunky 10 paragraph review, that person is vested. They are trying to tell you something, so pay attention to them because these people are in the buyer spectrum. If you want to sell supplements, go on drugs.com and look at the prescription medicine for people who actually went to their doctor to get prescription supplements to lose weight, and look at their reviews. What are they telling you and why are they buying? Go on Amazon again, and go on bodybuilding.com and look at fat burners, you can find all sorts of things but you want to find people that are buying the products, consuming them and coming back to leave a review, because they have expended a lot of energy to do so. You can also go on Facebook groups and read the comments. One client we worked with a few years ago was selling specialist dentistry marketing software to dentists for $300 a month. All he did was go on dentists' Facebook groups and read comments for two weeks and he worked out the answer to their recurring problem. Forums and Reddit are other sources of feedback. There are two things you need to pay attention to: the 'theme' and the 'product'. The theme is the trending fad at the time. For example, in the fitness community, keto is a theme. When keto became the theme, you could blend almost anything with it and people would buy it. It doesn't matter, people would consume anything keto. You also need to focus on the products being sold and why people are buying them. People are not buying the product because of the product itself, they're buying the product because of the marketing behind the product. Once you see a product that keeps getting referenced, you need to find that product and work out what the marketing is behind it. Pay attention to what they're saying that's really activating these

buyers and getting them to not only buy it, but to rave about it to strangers online. Kinobody is huge on YouTube and he sells a lot of supplements. His differentiation is that you do intermittent fasting, restricting calories to lose weight and only working out, say, three times per week. That's his deal. People are commenting about how they are eating once a day, and he's had a lot of people losing weight because they're basically lowering their calories. And that's marketing in the weight loss industry - it's all about calories in versus calories out, wrapped up in a new theme. But here's the thing, when people cut out carbs they automatically lower calories, and people lose weight. And if you cut out eating 20 hours a day, you automatically lose weight because you just can't eat that much over a 4 hour period. If you only ever eat over a 4 hour window, you are going to lose weight because you can't cheat and you don't have to measure food. It's all about the marketing of Kinobody's theme.

It is important to realize that not all reviews are legitimate however, so reviews can be helpful for your research, but there is also a chance that they don't really provide you with any clarity.

Robert started by 'bribing' ideal customers to have a talk with him for 10 minutes. He tried to figure out what little thing he could offer these people who he was trying to sell to in exchange for picking their brain. If he was creating a product, he'd give it to them for free when it was done. He reassured them that he wasn't trying to sell anything during these calls, and he found a lot more value out of talking to five people than going on Amazon and reading reviews. So this is an alternative way of doing it, or even a complimentary way of gathering research. Because there can be a lot of information that's not passed on when you're reading a review. You can't see anybody face to face and you can't detect tonality in their voice. There's a lot more data points when you're

actually talking to somebody. Even 10 minutes makes a big difference. Another thing to pay attention to is the actual words that they use. In Robert's video agency, he found that a lot of his customers said they wanted to "penetrate through the noise". That was one of the phrases that was used by several customers, so they started using that in our marketing. Another phrase used when they asked them what they wanted regarding the quality of their video, was that they wanted that "Wow feeling". So that's something that they put in our headline. Don't be afraid to talk to people. Just come up with a 'bribe', get on Zoom with them and just ask them a few questions. A lot of times you actually end up getting customers that way as well, because if they like what you're doing, they'll want to see what else you can do for them. This is what is called a 'focus group' in corporate America, and it's actually a really smart way of doing research.

We once had some software built where you could type in a keyword, and it would go through all these review sites, like Amazon and bodybuilding.com, and it would pull out all the products based on how you set the filters up. So you might want five star reviews, at least 200 reviews, verified purchases etc., and it would pull up all those reviews. It would also use Google Natural Language API so you could paste a certain paragraph or a review into it, and it would tell you the sentiment of how people felt about the product, whether they were angry, optimistic, happy, or sad. It would tell you all the keywords that kept popping up. A friend of ours that was going into the probiotics market used it and he found all the ads running for probiotics were promoting weight loss. We did the research with the software and it turned out that the main reason people bought probiotics was to be more regular in the bathroom. He did very well because nobody else was talking about that. If you're

technically inclined the Google Natural Language API is a really powerful way to analyze your market research, and will give you a lot of insights that you won't ordinarily pick up. You can work these new insights into your copy, sales letters and ads.

Wave Riding

There are two types of people that are really successful in marketing. On the one hand you have those like us who just want to have one thing that's running for a very long time. New things blossom and flourish but we're not chasing anything. This way of marketing and selling gives you compound effects, whereby everything you learn, everything you do is compounded. For example, if you're running an offer on Facebook or YouTube, and you spend a year running ads, after that year, you have a lot of data you can work with. You have so much data that you know exactly how the market operates, and you just need to focus on being operationally efficient. Then you have the people who follow waves, like keto for example, for weight loss. As keto started taking off, they'd run a keto offer. They'd find an influencer and then package a keto offer and they'd run that hard for a year or so until the wave was dead, and then their business would die. And this happens everywhere. In the online business space, starting an agency was a wave. A lot of people were seeing others starting an agency and wanted one. And then there was teaching people how to start and run agencies. But you have to be very careful choosing your path. One is way more stable, long term and brings a lot more compound to the business itself. You can also build a great team. With waves, we see people build teams, and then when the wave is done, the whole thing falls down at your feet and your business shuts down, including your

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whole identity, everything is just dead. So you have to start over again.

If you were using the concept of wave writing in your advertising, you would be seeing better conversion rates just because you're staying much more current and in vogue. As we go through the Coronavirus pandemic, you start to see more and more offers and products mention Coronavirus in one way or another, whether it's in their ad or on their sales page. And this works very well. If you've got a product stack that shows your product mocked up on an old version of an iPad, people looking at that are subconsciously thinking that it has to be an old product, because they know the new iPad doesn't look like that, so the product must be old. Wave riding is similar in that respect. If you have something like Coronavirus, which takes the whole world by storm, but you're not mentioning it in your offer, your offer must be dated because you're not even mentioning the elephant in the room.

If you want to see trends where the waves are starting, go to Google Trends and news.google.com. Typically, wave riding is reflective of the media. Imagine the media as being like earthquakes. These earthquakes create waves in the ocean, and people jump on these waves and ride them. Ten years ago we had Oprah, Dr. Oz and Dr. Phil as influencers. Oprah would go on TV and would say that she lost 15 pounds with Acai Berry. Or Dr. Oz would say some other berries help you add years to your life. And so 5 to 10 million people watching these shows think that as Dr. Oz said this, it must be true. The wave riders would create their offer based on these influencers and their TV shows, and the thing blows up because everybody's on Google searching. The wave has been created for them and they just jump on it. The

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conversions are higher, and they make a ton of money. It's a really great way to make a lot of money. We know lots of people that are wave riders who were in the keto space, but that's in decline now and people are getting a little sick of it. To search for trends and possible waves, use news.google.com as an aggregator, and Reddit/all because more stories will pop up and it will show you how many people are voting on a particular story. When Coronavirus started hitting news.google.com, there were articles which kept popping up on how vitamin D increases immunity. Next thing the wave riders are all getting cheap vitamin D, putting their label on it, and selling it for $100 as an immunity boosting supplement, and they've done very well. You need to pay attention to the media and the news to find out what is at the forefront of awareness in the minds of society. Right now as we're recording and writing this, there are riots happening across the United States and the wave to be ridden is in survival gear to protect you and your family. The message is, "The police are disbanded, there's nobody to protect your family, so here's the books and kit you need to survive". We know people doing that now and they're making a lot of money thanks to our media going crazy. The reason it's going crazy is because people aren't watching CNN or Fox News anymore in the numbers they used to. Joe Rogan gets more views than CNN. So the media has to up the ante by stirring up the pot with their news items and analyses, which creates more waves. Then there were controversies between the World Health Organization and Dr. Fauci over how Coronavirus spreads, which the media jumped on. For us, the benefit is that they create these waves where you can jump on and make a lot of money. So do pay attention to that, because it's a great way to build a very heavy cash flow business without having the obligation or commitment to the long term. Wave riders typically come in, make a ton of money in four or five

months, and then go travelling and just hang out for a year or so, and then do it all over again. Just be aware if you are thinking of getting into this, because despite being able to make good money, it is exhausting.

The Geometry of An Ad

The 'geometry' of an ad is the concept of how different people look at ads from different angles, or perspectives. We're all walking around in our lives with a filter. A man will have a certain view of the world; an older man will see the world in a different way. A woman will have a completely different perspective. These filters are a combination of all our life experiences, our identities and our inherent personalities. That is how the human brain works. When you create an ad, it should be extrapolated from your sales page, but at the same time, be conducive to that filter. So when someone is looking at that ad, it makes sense from their perspective. As we've seen, some ads use attractive women to get attention, but this detracts from the attention they need and they get the wrong attention. The aim is to get people to go to your sales page. Try to look at your ad from the worldview of your audience. For example, in the agency space a lot of people just want to be in their basements, and they don't want to talk to anybody. They just want to cold email people to get clients, and then have somebody else do their work. And they have a certain limit that they want to get to, such as $10,000 a month. If you were to come to them saying that you were going to make them a superstar, and tell them to just get on video and sell themselves, they won't want any of that, so they will filter out your advert.

Translating Ads

A lot of people will try to take an ad from one environment and put it into another environment. For example, they'll try to take an email and then turn it into an ad or such like. But it has a different impact because the audience has a different intent in different places. Ads don't really translate well; you have to freshen up the ad for both the audience and the environment, for the ad to work. If you take an ad that works well on Facebook and you put it on YouTube, it's not going to have the same effect because they are different ecosystems. A contextual example would be if you did an ad for Instagram stories where the call to action is to swipe up, and then you put that out on YouTube. The swipe up to learn more isn't going to work on YouTube.

The Time Factor of Ads

Time is measured on almost every metric - almost everything we do in life is based on time. The rule of thumb is, the longer the ad, the more you focus on qualifying the people that are coming to the sales page. If you're going to do a video ad, it's better that it's longer. If you have two ads, for example, where one is two minutes and the other is eight minutes, the eight minute ad is always going to do better. Put whatever you're going to say in the two minute ad and use that as the first two minutes of the eight minute ad and keep talking. This will not only pre-qualify people, but if they continue watching after 2 minutes you can continue to pitch to them which will further strengthen your bond with them. When we used to run webinars, we ran them on auto play by using a special server that we had configured. We would duplicate the webinar and run it again directly after, with a caption saying, "Automatic replay starting now 5, 4, 3, 2, 1" and we'd replay it

three or four times. And you would be shocked to see how many people would watch the replays. If we had around 1000 people show up, there were 300 people watching replay number three. It was crazy. On each replay more people would buy every time. It was exactly the same video, the same close, same everything. So you always want to have a long grab because it qualifies more people, and also, if they're going to spend time watching it, let them spend time watching it. If they get the experience or what they need within two minutes, they can click and they can continue to the sales page, so there's no harm done. So longer ads qualify more people and work better right now. This is obviously for video ads and is different to how image ads work, which we'll talk more about later on.

Desktop vs. Mobile Ads

The buying decisions that we make on our phones are different to the decisions we make on a desktop. Likewise, those decisions made on my desktop are different to the decisions that we make when we're on the phone talking to somebody. Again, those decisions are different to the ones that we make when standing face to face with someone and shaking their hand. One thing that we realized when we launched our first product, which was an eBook for $37, was that when we lowered the price to $5, we looked at the stats and we found that there was a 44% increase in mobile purchases. There was a direct correlation between price and the sort of device being used to buy the product. We inherently have this need where if a product is say $50 or more, we are more drawn to do the purchase on the computer where we're more comfortable doing research. We all have some number as a threshold where we feel the need to change the device at which the conversion takes place. Robert never bought a

$997 product from a webinar from his phone. This is how most people operate. If we expand on this you realize that if all you sell is a $997 course from a webinar we miss out on all the people who primarily use a smartphone. They don't even enter your world because they are not prepared to pay over a certain threshold using their phone, and they're certainly not going to make a $1000 purchase from their phone. This is something you need to think about when pricing your offer.

You also have to factor in people's attention on different devices. On a computer you have all this screen space to use. You can chat on Slack, have 4 browser tabs, Youtube reviews, and so on. But when you're on your phone the focus tends to be more singular compared to desktop. Switching between apps also has a very real effect on people's attention and focus. And this is one of the reasons why in our business model, we sell lower end products and then move them up to higher value products after, because you capture a much greater share of the market by having low-dollar products on the front end.

Text Ads vs. Image Ads vs. Video Ads

There are three types of ads – text ads, image ads and video ads. Attention is focused on watching or reading. Certain markets respond better to certain ads and it's not necessarily dependent on the niche of the market, but more so on the demographic of the market. We know a lot of people in the alternative health space, and their primary market is baby boomers. Everybody who was an adult up to year 2000 tends to read more, because the bandwidth wasn't there for videos at that time. They tend to be readers, and they grew up reading books, newspapers and articles. The conversations at that time were, "Have you read

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such and such article?", so older folks, say 45 up, like to read. Typically with them our text ads are going to do better because text sales pages do better with them as well. Video ads tend to do better with younger folks, because they don't like reading so much. And a lot of people, believe it or not, can't read that well. In the way they read and the way they process information, there's a lot of friction in their brains when they try to synthesize words from a page. You've got to be careful about that, but again, you should test all of it. You should test image ads and video ads, because the market sophistication also influences the type of ad that will do well. If there's a ton of people doing video ads, image ads are going to do better because it interrupts and gets attention. For example, we can capture more attention by running an image ad where everyone else is running a video ad. Because for them to capture attention, they have to enter the time factor, meaning that someone has to make a time commitment to watch their ads which might be 30, 40 or 50 seconds. The other problem with video ads is actually being on video as well, because people judge you. It's been proven that attractive people receive lesser criminal sentences, because humans are very biased. So if you are attractive on video, people will respond favourably to you and they think you are trustworthy. If you are unattractive on video, people will judge you. They will look at what you wear or what the background is, and that could ultimately affect your sales. The easy way to overcome that is to use great images in your ads, and typically this means images of your product. It's a really powerful and effective way to do image ads. The other benefit of image ads is that you can test them easier, because you can have several of them and rotate them really quickly to see which get the clicks and which ones work. Whereas video ads take time to produce, to put in the subtitles, and all the other work and variables involved.

We always recommend doing image ads first because it will help you move the fastest.

Image Ads

An image ad's purpose is to capture our attention. That's the first thing, because without attention, nothing happens. However, you don't want it to stand out from the rest of the page so much so that it blatantly looks like an ad. On Facebook you can do a quick preview and you'll see what the ad will look like. You want to look at it contextually and ask yourself if it looks like it's part of the content, part of the conversation happening on Facebook, and that it doesn't really stick out like an ad. If you look at a lot of ads on Facebook, you will see branding company ads and as soon as you see them come up, you instantly know it's an ad. And as soon as you've registered it as an ad, your guard is up and you tell yourself that you don't want to buy anything right now. But if it's an article or an image, or how to achieve whatever it is that you're really into, you're okay with that. For example, right now Alen is into super healthy recipes for eating. So if he were to scroll on Facebook and he sees an ad that talks about that, he'd want to know more about it. He will look at it, and if it has some examples he would buy it. But if somebody is on there just trying to sell me something (which we see all day), he just doesn't want to see that and it puts his guard up. We discussed it earlier, the reason most big brand companies don't get this is because the people who are running the ads aren't spending their own money. Branded companies hire agencies who spend company money on ads, and there's no accountability or risk involved - they'll just burn money. When it doesn't work, they'll blame it on the product. When it does work, they'll get the credit.

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Video Ads

Video became prevalent when bandwidth increased. As we saw before, the problem with video ads is the time consumption that they require. You're asking someone to listen to your stuff for 5, 10 or 15 or more minutes, and that's a big ask. It's like asking somebody to get married when you've only just met them. That's why the first three seconds are the most important. In those first three seconds you've got to say something that gets them going otherwise you will have lost them and they'll move on. You also have to have subtitles because if the video plays on mute, they're unable to hear what you have to say, and again they'll just move on. Whatever you say in your video has to be based on market sophistication.

In his book, "The Path of Least Resistance", Robert Fritz explains about the 'rubber band effect', which we'll explore next. The typical throughput of an information product is between 2% and 5%. This means that only 2% to 5% of people who buy the product will actually try to implement what it is teaching. If a thousand people buy your product, between 20 and 50 people will implement it. Your product should be so good that those people that do make it to the end, get phenomenal results. Imagine somebody in the middle of a room with two rubber bands attached to them from either side of the room. If they go to one side, one rubber band pulls at them, and if they go to the other side, the other rubber band pulls at them. There is tension on the person in different places and directions depending on where and how far the person travels. People buy things just to get rid of tension in their lives. For example in the weight loss market they'll buy products because they wake up every morning, look in the mirror and they aren't happy with what they see.

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They'll buy a product just to feel that they did something about it, and most will buy and make excuses for not implementing it right away, and they will say that they will do it later. Buying the product is like part 1 of actually getting to where they want to be. When you're doing video ads to the weightloss market you have to understand that that person lives in a very negative state of mind, so the first three seconds has to appeal to their negative emotion. We call it the 'Punch in the gut' opening. So it could say something like, "Hey, I know you don't like what you see in a mirror". And when you say that to somebody in the weight loss market, they will be shocked, but at the same time, they know it's true. It creates that knot in their stomach. You have to open with a punch in the gut that 'appeals' to their negative or positive mental space, and why are they buying it in the first place. But as discussed earlier, you don't want to do what Gary Halbert tried calling them fat, and triggering anger, as that anger then got directed at him.

Split Testing Guidelines

As much as we want to sound like we know what we're talking about, in reality, nobody knows what they're talking about. This is because marketing is all about using the best guess in time, based on prior experiences, what you know, what you think, what we see other people doing and intuition. We are all just guessing, If anybody tells you a definite, it's not true. We don't know how masses of people are going to react to whatever we do online. We just don't know. The only way to know is to put it out there and see what happens, and then improve it. That's when you create feedback cycles, and you do that by testing. That's why in our Automatic Clients program, we advocate that you have to at least break even. Part of the economics is to be able to acquire

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customers by spending a little more than anybody else in the market. That can be a penny more, a dollar more, whatever. But you need to be able to pay more than others. That is the economics. If you can do that, the people you get coming in allow you to split test different things. And if you can test different things, you then know where to take the offer, where to take the ads, where to take that market and you can optimize. If you can optimize, you have compound effects. If you can increase your product sales by say 1% a week for a year, that's an exponential increase. Do that for long enough, and you will dominate the market. This is how certain corporations like Apple are dominating, and it will be interesting to see who, if anyone, can replace Apple because they are so far ahead with their improvements. Demise of companies rarely has anything to do with competition coming into the market, because these companies tend to blow themselves up from the inside, like Nokia did. One of Alen's professors was a consultant for Nokia, and she told the class how much bureaucracy there was within Nokia where there was chaos going on inside. When Steve Jobs came along he destroyed Nokia with Apple. That's how these big companies, these behemoths, become what they are, because they test everything. Apple captures and tests all this data, how you move your phone, what you do with your phone, what apps you use. They test and they track everything. All the decisions that are made on your phone are based on billions of touchpoints. Again, it's a best guess in time, so when the iPhone came out, Steve Jobs guessed that people were going to like it. Next, they sought to improve it by testing little by little. So every year a new phone comes out that is a little better than the previous. Over time, it turns into arguably the best phone in the world. It's the same with Facebook. Facebook split test their platform because you are using their product and they want to see what gets you to come

back all the time. When you first go to the market with your ads and with your product or service, it's a best guess in time. The only way to improve on your ad performance is to test. The only way to test is to be able to acquire customers. The only way you can acquire customers is by spending more than other people. Once you get to this point, you can test different things.

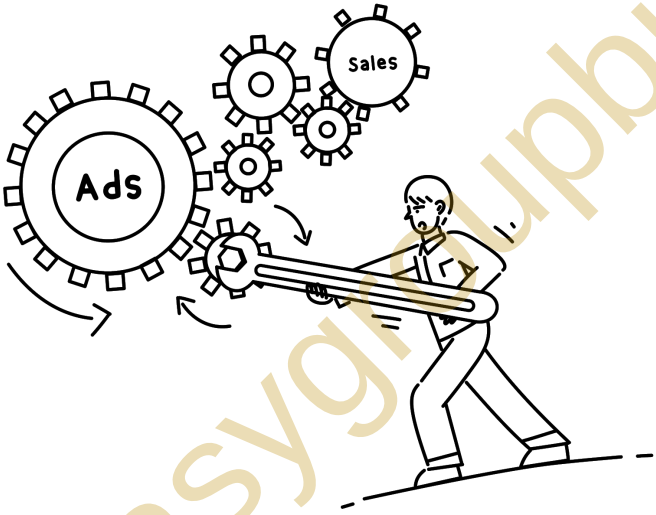
Firstly you decide whether you are going to use video or image. Then, in order to test, you look at your data. Go into your Facebook account, your YouTube account, and into your Google analytics and record your sales demographics in a spreadsheet. Out of a thousand sales, record the number of women that bought, and of which ages, and so on. We had someone in our group who had an offer in the agency space that was bombing. When Alen looked at it, he noticed the guy was targeting everybody aged from 18 to 65 on Facebook. Then we looked at the spreadsheet, and the stats told us that people from 24 to 45 were the ones buying, so we cut those other ads out that were targeting the non-buying ages. The budget allocation was then going into the responsive ads – remember, you're spending money even on the people that don't buy your products. However, initially it's important to spend money on people that don't buy your products to learn why they don't buy your products. Then don't spend money on them anymore. So, once we cut our client's ads back to targeting the buyers, boom! His ads were working. It's important to do gender specific testing because men and women will have a different AOV and CPA. In the weight loss market it's way more profitable to sell to women than it is to men. In other markets like business opportunity, it's equal. At first we thought it was men, but we found that women also buy backend products so it's usually about the same.

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Then you need to do age testing. If you were selling a $5,000 or $10,000 program, the likelihood of an 18 year old buying is going to be very small, because they simply don't have the money at that age. And you don't want them borrowing that kind of money from their parents. You also don't want people getting loans and borrowing to buy your products – that's not good. Likewise, if you get a 65 year old who's not technologically savvy and you're trying to sell them consulting or coaching in the entrepreneurial market, that person's not going to know what they're doing. If you take their money, you'll have to guide them every step of the way which will be an enormous drain on your time and business.

The next step is to perform location testing. When you're running your ad, you can see which countries are doing well. We've run ads to the UK, the Middle East (which is extremely good), Singapore, Japan and South Korea. We've also run to South America and Canada, and all these countries have a different performance, so you've got to pay attention to that. If you have a limited budget, which we all do, then you have to allocate that budget. Again, you're paying for people that don't buy your product. For us, Canada never did very well. Canadians just don't buy our back end products. So we take the budget we had for Canada and we put it into the United States, which does really well. Boom! More money. You move budgets from lower profitability areas to higher profitability segments. When you find the high profitability segments, you should allocate 20% of the budget into testing new ads for that segment, because all segments eventually succumb to ad fatigue. Hopefully the new ads aren't losing money, and you will have created a protocol for testing new ads, which is really important to do. Split testing doesn't come from thoughts and ideas out of thin air, you have to do it intelligently by looking at the actual data in your analytics.

And it's so easy to do these days. In Facebook, there are dynamic ads, where you can literally upload five different images, five different headlines, five different sets of copy, and Facebook will do the testing for you. It's almost too simple not to do, especially when you think about how difficult this would have been back in the day when they were sending ads by post, and they had to manually track what was doing well and what wasn't.



Chapter 7

How To Scale Ads

Ad Stability

Scaling ads ultimately comes down to a game of testing a lot of ad creatives, and we've touched on this before, but these days, the ad creative is a big component of an ad. We are of course assuming here that the offer is great. The actual mechanics of setting up budgets and the targeting is done for you by the algorithms so we

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don't have to think about that as much these days. It becomes a game of testing a lot of different ads, finding the winners and getting rid of the losers, and then just re-allocating those budgets to the winners. Everybody wants to scale, so you have to scale efficiently, because scaling without profit is stupid. You have to scale for a reason, and the only reason to scale is to make more money. Don't forget, when you scale ads, you scale everything else in the backend, so you scale your customer support, your phone sales team needs, you also scale your time going into coaching, or consulting as well. You have to have the operational strength and the capability to scale. The fundamental problem with a lot of people doing this is that they are marketers, not business owners, so they want to scale to make more money, but they don't realise that you have to scale everything across the board. Scaling risks coming at the price of reduced stability. The more you scale the more you will experience that 'wobble', which we described before. Just to remind ourselves what the wobble is, imagine you're in an ocean in a small boat and you're in very still water. You wouldn't have many issues. This is the equivalent to selling 10 to 20 books a day - it's easy. But when you get to 50 books, this is when the waves start and the boat starts rocking, and things are a little more unsettled. At 100 to 300 books things start to get unmanageable, and at 500 books, the waves are so big they can capsize your boat on a daily basis. In real life, this means that your ads are no longer stable, and the growth is not linear. So for example, before the wobble, you might have a CPA of $20, and it's steady, but when you scale up and hit the wobble, the CPA changes from day to day. So it might be $20 one day, $35 the next day, $15 the next day, and $70 the day after. These kinds of wobbles can break you, especially if your economics are not built to support it.

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AI works by expanding the reach. The greater the reach the less targeted that reach becomes. The less targeted that reach, the more effective your marketing, economics and everything has to be in order to sustain stability at those levels. Without good economics and the 10X, once you get to 50 to 80 book sales a day, the business implodes. And this is why you see so few people able to make their offers work because they just don't get this. They scale from eight sales a day to 20 or 30 and the whole offer implodes, and then they blame it on the ads. They think they just need better ads. They don't need better ads, they need a better business. So they might go to a Facebook agency to run ads for them. These Facebook agencies typically post stats (as testimonials) to get your business, but what they don't tell you is they're posting stats from people that have really great offers. Anybody could be running the ads and they'd do well. And we know this because at one point, we hired a lot of agencies and we lost money. Then we actually started to try to beat the agencies we hired, and we beat them every time.

The 2 Hour Agency Strategy

In Facebook, you have Campaigns, Ad Sets and Ads. The way to scale ads strategically in Facebook is to create a Campaign and have one Ad per Ad Set, because you can allocate the budgets more effectively this way. We learned this by making the mistake of testing 20 ads in the same Ad Set, and as soon as one of them took off, Facebook allocated all the money to it because it saw this as the performing ad. It doesn't properly test the rest of the ads in the Ad Set so you'd think these other ads aren't working, because you only see this one ad working, as it's the one that is converting. In reality, So, Facebook just prioritizes that ad and it just starts dumping all the budget on it. If you want to test, say, 5

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different ads, use one Ad per Ad Set and set your spend limit at the Ad Set level. If you have a budget of $100 per day and you have five Ads, you would put a limit of $20 a day per Ad Set to properly test.

As far as the testing itself goes, you can do it based on time, money, or actions. Typically, actions are the best. If you use sales as an action and you choose 10 actions, then the first ad to get 10 sales wins. That would be a mini test, because the more actions, time or money you use, the greater the certainty of the results. 100 would be better than 10. 500 would be better still, but a lot of people don't have the money to spend, to generate the 500 sales to get the conclusive data. Once you see something working out, you should duplicate that Campaign and then delete everything else except the duplicated winner, so it's in its own Campaign and just up the budget - $100, $200 or whatever you can budget. Typically 3X to 10X the budget. Then you disable the ads in the original campaign. Next you redistribute the budget for testing to the remaining test ads and then kill what doesn't work. You constantly have to move the winners in that Campaign.

In your testing Campaigns, you need to have highly specific niche targeting by using layering. For example, for our business we target people who are into certain software and people who like certain influencers, and also people who like certain authors. The more layers you create in a single ad, the more targeted that ad is. Using the Facebook pixel, you track all the data developing within the copied winning ad. It tracks comments, shares, likes, dislikes, and buyers and how people are interacting with your ad. When you duplicate the ad by duplicating the Ad Campaign, you take all those comments, shares, buys and everything with it and reuse the same ad, whilst disabling it in the testing Campaign. When

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you move it to its own campaign, you should then remove all the targeting, because Facebook will have all of the targeting it needs based on all the interactions with your ad, all those likes, comments, shares and purchases. It will find you more people based on this data. If you keep your original targeting, it will constrain Facebook targeting too much and you can't expand the ad effectively. You put targeting on to get those initial events, then you remove your targeting to expand the reach. So let Facebook do the targeting for you and the ad will take off by itself.

We only use top tier countries, which are the top English speaking countries. A lot of people geo-fence, which means they might target people in the US and then have a separate campaign for people in the UK. But geofencing is only important if you're selling physical products. If you're selling digital products like we do for the most part, you don't need to geo-fence because if somebody is into the keto diet in the United States, there will be people in the UK who are into the same keto diet. So there's no need to fence those two off. You can look at the data on the report later to see which country is converting, then decide whether you're going to keep it or not. Most often, you run it as global, and the only reason you wouldn't run a global campaign is because of language issues. But the key here is that if you're going to run in Germany or France, keep your ads in the English language because people that respond to your ads will speak English and Facebook will figure that out. When you check your stats, you will see which countries are not doing well so you can do a further subdivide and take them out. If there's a stand-out country doing really well, you can give it its own budget, reusing the same ad.

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Chapter 8

When Ads Stop Working

When you find a winning ad on Google Display Network, the chances are you will be able to run that for a very long time without changing a single thing. If you go to the most successful people in your industry that run ads well, and you check their Facebook ad library, you'll find they are constantly uploading new ads. What you'll also find is that if you have an ad that's working on Facebook, that that ad is going to stop working probably within the next 30 days, and that if you just re-upload

the same exact ad to the same audience, it's going to start working again. You have to go into this binary way of thinking when you're looking at your ads, because an ad that was working at some point doesn't just stop working even though the results might have changed. It usually just means that you need to relaunch the Campaign or start a new Ad Set - the ad itself is good and it has proven itself to work before. The only exception to this is if you've been running it for two years on Facebook and you actually have offer or ad fatigue, which is actually much rarer than people think. If you have an ad that's stopped working because of fatigure, it's not going to automatically start working later on, unless maybe you wait another 5-10 years. This can all get very emotional because you're putting money on the table. We know that people tend to fall into this trap where the Campaign's working or a specific ad is working and then it just stops working. But it is actually good news, even though it is alarming when that happens. You just have to remind yourself that nothing is really broken other than the Facebook algorithm. The reason why it stopped working was due to Facebook's algorithm. The product was selling, the ad was working so just relaunch the Campaign, but don't freak out and start changing the offer. Definitely do not start listening to the advice of people in the comments who tell you to change things when they didn't even buy the product. So, be aware that your ad will stop working due to the algorithm, but when you think about it, the Facebook algorithm or Google's, or indeed any of these platforms' algorithms are pretty remarkable considering the volume of people that use it. Nearly 2 billion people use Facebook every single day, so for it to do what it does is almost a miracle. It's amazing to crunch that much data.

The Broken Funnel

We see a lot of clients who are able to sell 8 to 10 products per day and then they try to increase the budget because they think that what works well at that small scale, will work at a larger scale. It doesn't. Scaling is one way to break the sales process, but there are many other ways that will also break the process. We have a client in the dog training niche who had a great offer that was running and doing really well. All of a sudden it stopped working. We spent two hours with him looking through it only to find out that ClickFunnels (his sales page builder) had put an update live, which removed the pixel so it wasn't firing the data. Everything else was working. When your ads stop working, the first thing to do is to test that everything in your funnel is working. Buy your own product, go through the funnel, check the emails and check that the credit card transaction took place. Make sure the pixel is firing and check where it's firing off and that your naming conventions for the pixel events are correct.

Facebook Reboot

As we discovered before, Facebook puts people into different buckets. So you have a bucket of buyers, you have different buckets of people that are interested in a product, and it has a not interested bucket. Facebook will always put your ad in front of the most responsive buckets first, and after getting certain results it might try a different bucket instead, and sometimes it won't work so well. But when you reboot the ad, it puts you back in front of the original most responsive bucket again, and the ad will start to perform again. To reboot the ad, simply turn the Campaign off then turn it back on again, or better, duplicate the Campaign and turn off the original, then start up the new

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Campaign. We've done this over and over, we don't know why, but for some reason it works.

Deep Data Segmenting

You need to look at all your reporting all the time and get really good at it. All these primary ad networks have phenomenal reporting. Look at the gender - who's buying? Look at the age, and the location. Look at the ad placements - the sidebar ads, the marketplace ads. Look at all these things to find the most profitable pockets and double down on them. Move your budget from the lower profit pockets to the higher profit pockets. If you run the ad and it doesn't work, look at all the data. It's not going to work in all areas, and there's no point in trying to outsmart the algorithm, just focus on what works. The big takeaway here is to make sure you work with objective data. It is a principle we use that really helps a lot of people we work with. Subjective data is based on how you feel. 90% of people running offers focus on subjective data. They look at data and they extrapolate the wrong things from the data and subsequently make the wrong conclusion and decisions. The problem occurs when people think that their ad isn't working because they 'feel' that there is a particular problem. We've seen people give up with ads when they scale offers which subsequently crash, so they give up and start to sell from a Facebook group, instead of having a predictable stream of revenue coming in. Take a YouTube creator for example, who wants to grow and capitalize on their growing number of subscribers. When their ads bomb, they go back to creating content because it's their safe area. And this comes from subjective data, and it's a very dangerous thing. So the first step is understanding whether you are using objective data or subjective data. How do you know if it's subjective data? Well, if you're

extrapolating or interpolating reasons based on how you feel versus looking at what's really going on in the data, then it is subjective data.

Robert recalls the emotional journey of scaling the 2 Hour Agency offer together with Alen. It was his first time stepping into this level of the game, and the stakes are higher.There were so many times where the emotions almost got the better of him. We'd have a bad day losing $1,800 and Robert was making decisions based on how that made him feel (terrible), and decisions based on emotions are rarely good. But after looking at the data and doing a reboot, it turned out that there was no issue. If you've made it work at some point previously then that is proof that your ad is good. When it stops working you need to do everything in your power not to panic and remind yourself that your ad is good and does work. If you need to, pay someone who understands the contents of this book, the strategic part of advertising, for an hour or so of their time. Getting somebody with fresh eyes and who is not emotionally invested the way that you are is a great help, because the truth is for most of you, doing this will be a very emotional journey, the way that it was for Robert. Whenever we have something that's not working, we take a step back, look at it objectively, and sure enough, every time we did that, we were able to solve the issue. And it's a hundred percent going to happen to you too - it's impossible not to have bad days where you're losing money, or ads that suddenly stop working or accounts getting banned, so you need to be prepared for that.

A lot of people get all excited about scaling their offer, and when they spend their $500 ad budget they actually lose it. They get burned and they don't want to do it again. But you have to look at

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data weekly or biweekly or even monthly. The longer the time span over which you look at your data, the better it will be. We've had days where we made a lot of money and then we've had a day where we lost $1,800. But on balance, if you make more money than you lose, then that is good. Don't go spending $500 in one day. Spread that budget out to five days, or budget $50 a day for 10 days. That way you have a safety net to lessen the impact of a day or two of loss. But remember, when you're buying ads, what you're really doing is you're trying to work out what does work and what doesn't work. You're paying for information. Ultimately, you're not paying for sales - that's secondary. Again, the rules of economics are to spend more money to acquire customers than other people while breaking even. If you can do that, then you can optimize the business into profitability. If you're losing money, unless you're funded, then you can't continue because eventually you'll run out of money, which is the resource to buy more ads, and that is unsustainable.

Bounce Rate

The bounce rate is the percentage of people that come to a page and who leave immediately. Typically if you have a high bounce rate it means that your headline or the top portion of your sales page, or the first few seconds of your VSL, or the first 15 to 20 seconds of interaction on the page is misaligned with the ad. It happens when people create ads that aren't extrapolated from their sales page. People look at the ad and they expect one thing, then when they come and they see a different thing that is incongruent on the sales page, they leave.

Different Angles and Levels of Awareness

You can also try appealing to different levels of awareness to get your ads working again. Try a few different angles from the sales page and extrapolate on that into the ad. You can tell the different levels of awareness based on the ads other people are running in the marketplace.

We talked before about the five different stages of market awareness, and how when you advertise to each, you do so differently. Each stage is also very different in size. The people that are product aware and are ready to buy are the low hanging fruit, so all we need to do is put the image of the book and some bullet points about what's included into the ad. But there's a much bigger market out there, which is the people who are less aware. They are more difficult to get to, and to actually convert. But if you are able to do that, you're going to have a much bigger market, and that is going to be very lucrative for you. That's why it's important to take into consideration the different levels of awareness when you're testing different creatives. If you have only been running ads to people who are actually aware of what they want, consider trying to reach people who are not even problem aware - they don't even know that they have a problem yet. If you can make that work, that's going to be really big.

New Mechanisms

We talked before about market sophistication, giving the example of razorblades where companies kept adding new mechanisms to refresh the product. They went from one blade through to five, and now they've gone back to one blade. That's the disruptive idea. If you are in a market that is mature and your ad stops

working, you don't necessarily need to scrap the whole offer. If you added a new mechanism to the product, that alone could help.

Check Your Product Works

When your ad stops working, one key thing to focus on is making sure your product is actually working and getting results, because that effectively will do the selling for you. With any offer you'll see a 2% to 5% throughput. Out of a thousand people 20 to 50 buy and will actually get to the finish line by implementing your product. That's human nature. And that's not on you, that's on them - it's their responsibility to actually put the work in to get the results. If your product actually works and does what it needs to do, then you just need to keep pushing the fact that it is getting people results, by using the results as case studies, reviews and testimonials in order to sell. If you look at the products of the biggest companies in the world, the iPhone for example, has had pretty much the same interface, and the same design for 10 years, and it works exceptionally well. BMW cars look pretty similar over the years, and although they do facelifts, the design remains similar. Porsche updates their design every 10 years but people still buy every year. So make sure the product works for your audience and make sure it gets them results. Make sure the mechanism in the product which is getting the results works. Once it's getting results for people, you don't really need to focus on the product so much. The marketing and advertising then become much easier.

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Building Results

How do you go about getting and building on these results? Firstly, it has to work for you. If you use your product and you get results, then that means other people can get the results. Then you can go in one of many Facebook groups and you can create a beta group for a few others to try out. If it works for these people, then you can start running ads. When you run ads in today's day and age, any deceit, lies or trickery comes to the surface really fast. People with products that don't work, who don't get the results, don't last. They'll run these offers for a while and people will buy it, but they'll write in the comments what they think about the product, and it won't be good. The great thing about our offer (that Robert did such a good job on) is that people would sell other people in the comments: "I bought and it was great", and, "I can't believe it's only five bucks". They do the selling for you, because the product works. So a lot of energy should be put into the product. The actual length or size of the product is irrelevant, as long as it works and gets them results, and then the advertising just amplifies that. Marketing and selling bad products is not sustainable. And if you scale with a bad product you're also scaling everything else like chargebacks, refunds, customer support, tickets, annoyance, people writing bad reviews. If your product works and you scale, you will just sleep better at night and it's a win-win for everybody. That's all business really is - it's just an exchange of value, and the whole purpose of advertising is to accelerate that exchange of value.

When you're starting out you need to get the product done so that you can start selling it, and you should be spending 80% of your time on actually sales and marketing. But as soon as all the systems are set up, your funnels are built, the order form is

working, the emails are in place, and the product is selling, you should gradually switch over that 80% to refine the product. It's very important to actually launch the thing. That's where most people get stuck, and that's why we say to spend 80% of the time actually selling and marketing in the beginning. But in the long term, the quality of the product is going to be the deal breaker because that is what's going to have people go into the comments and convince others to buy using word of mouth, and that is what is going to help you in the long term.

Next Steps

Now you have a basis from which to actually build on your own experience and then develop your own strategies and new breakthroughs.

If you need help or want to talk about anything, just ask questions in the Facebook group.